OECD
ECONOMIC SURVEYS

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

UNITED STATES

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

JULY 1974

BASIC STATISTICS OF UNITED STATES

THE LAND

Area. Continental United States, plus Hawaii and Alaska (thous. sq. km)	9 363

Population of major cities including their metropolitan areas (1970 census):	
New York	11 410 000
Chicago	6 894 000
Los Angeles-Long Beach	6 971 000

THE PEOPLE

Population, 1.7.73	210 404 000
Number of inhabitants per sq. km	22
Population, annual net natural increase (average 1968-72)	1 596 600
Annual natural increase, 1972, per cent	0.6

Civilian labour force, 1973	88 714 000
of which:	
Employed in agriculture	3 452 000
Unemployed	4 304 000
Net civilian immigration (annual average 1968-72)	402 800

PRODUCTION

Gross national product in 1973 (billions of US $)	1 289.1
GNP per head in 1973 (US $)	6 127
Gross fixed capital formation:	
Per cent of GNP in 1973	15.1
Per head in 1973 (US $)	923

Origin of national income in 1973: (per cent of national income)	
Agriculture, forestry and fishing	3.6
Manufacturing	27.6
Construction and mining	6.4
Government and government enterprises	15.5
Other	46.9

THE GOVERNMENT

Government purchases of goods and services, 1973 (per cent of GNP)	21.5
Revenue of Federal, state and local governments, 1973 (per cent of GNP)	35.6
Federal Government debt as per cent of cash receipts from the public, fiscal year 1973	201.7

Composition of the 93rd Congress:

	House of Representatives	Senate
Democrats	239	56
Republicans	192	42
Independent-Democrat	1	—
Vacant	3	—
Independent	—	1
Conservative-Republican	—	1
Total	435	100

FOREIGN TRADE

Exports:	
Exports of goods and services as per cent of GNP in 1973	7.9
Main exports 1973 (per cent of merchandise exports):	
Machinery	24.6
Transport equipment	15.4
Food and live animals	17.1
Crude materials (inedible)	12.0
Chemicals	8.2
Other manufactured goods	10.3
All other	12.4

Imports:	
Imports of goods and services as per cent of GNP in 1973	7.5
Main imports 1973 (per cent of merchandise imports):	
Food, feeds and beverages	13.1
Industrial supplies and materials	39.5
Capital goods	11.2
Automobile vehicles and parts	14.6
Consumer goods (non food)	18.9
All other	2.7

NOTE An international comparison of certain basic statistics is given in an annex table.

Mme Pons'

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ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development (OECD) was set up under a Convention signed in Paris on 14th December, 1960, which provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

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The Socialist Federal Republic of Yugoslavia is associated in certain work of the OECD, particularly that of the Economic and Development Review Committee.

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The annual review of the United States
by the OECD Economic and Development Review Committee
took place on 31st May, 1974.

The present Survey has been updated subsequently.

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Director of Information OECD
2, rue André-Pascal, 75775 PARIS CEDEX 16, France

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INTRODUCTION

The growth of activity slowed down after the first quarter of 1973, following the rapid expansion of the previous twelve months. The slowdown was influenced by capacity shortages, tighter fiscal and monetary policies, and the sharp rise in prices which checked the growth of real incomes and demand. In this setting, the emergence of the oil crisis in late 1973 and early 1974 brought about the sharpest drop in real output since 1958. Reflecting this decline, capacity utilisation rates, which had risen to unusually high levels by the middle of 1973, have fallen off in recent months while unemployment has significantly increased since October.

After relatively stable behaviour in 1972, prices turned up sharply in 1973 and accelerated into 1974. The resurgence of inflation can largely be ascribed to worldwide food shortages, the international boom in other commodities and the strong pressures on domestic resources. Over the last six months, the increase in oil prices by OPEC countries has been an important factor.

The problem of fundamental external disequilibrium which became most evident during 1970 and 1971 appeared to have been successfully resolved by the end of 1973. All major components of the balance of payments registered significant gains last year and the current account swung back into surplus. The 1974 balance-of-payments outcome will be heavily influenced by the higher oil prices but the United States should be in a better position than most Member countries to cope with the new situation.

Declining activity and accelerating inflation, the two fundamental economic problems facing the United States in early 1974, are the focus of this Survey. Part I outlines the main features of the slowdown from the first quarter of 1973 to the first quarter of 1974 and discusses the factors behind the marked strengthening of the external position. Part II analyses the recent inflation problem and attempts an appraisal of the 2½ year experiment with wage and price controls. Part III examines the fiscal and monetary policy stance pursued since the beginning of 1973 and discusses the probable course of policy over the next twelve months. The economic outlook is presented in Part IV, and Part V offers some conclusions that emerge from the analysis of the Survey.

I RECENT TRENDS AND DEVELOPMENTS

Demand and output

After a very pronounced rise in the first quarter of 1973, real GNP showed a slow advance and turned down in the first quarter of 1974

Table 1 GNP Volume and Components
Percent changes, seasonally adjusted annual rates

	Annual				Quarterly								
					1972				1973				1974
	1970	1971	1972	1973	I	II	III	IV	I	II	III	IV	I
Personal consumption	1.8	3.9	6.2	5.1	6.9	8.8	5.9	7.4	9.3	4.4	3.5	–4.8	–2.9
Durables	–2.1	10.0	12.8	9.9	15.0	11.3	16.2	13.5	31.8	–2.7	–2.7	–21.3	–9.6
Non-durables + services	2.7	2.6	4.6	4.0	4.9	8.3	3.5	5.8	4.4	1.2	5.2	–0.1	–1.0
Non-residential fixed investment	–3.6	–1.4	10.0	10.6	16.8	5.0	4.4	21.2	18.0	1.3	7.6	5.7	–2.9
Residential investment	–6.3	30.6	19.3	–1.7	32.4	2.4	6.0	7.1	3.4	–3.3	–8.8	–38.9	–36.7
Federal government purchases	–12.5	–5.3	–0.2	–6.1	3.3	–0.6	–23.6	–1.4	–2.7	0	–6.7	–15.1	13.8
State and local government purchases	3.6	3.3	6.1	6.6	3.1	7.2	9.7	10.0	5.8	3.8	3.7	6.5	4.1
Final domestic demand	–0.3	3.3	6.5	4.7	8.1	7.2	3.6	8.2	8.8	0.7	2.6	–4.9	–2.7
Exports	7.9	1.0	7.0	19.9	54.4	–9.1	19.8	22.9	44.1	8.2	4.9	23.1	17.3
Imports	3.5	4.8	11.5	4.3	76.1	–14.7	5.0	21.0	21.5	–13.2	–7.0	–3.9	14.2
Final sales	0	3.0	6.2	5.8	6.9	7.7	4.5	8.4	10.3	2.5	3.6	–2.9	–2.2
Inventory investment[1]	–0.3	0.2	–0.1	0.1	–1.9	1.7	1.2	–0.2	–1.5	0.1	–0.2	4.5	–4.3
GNP	–0.4	3.2	6.1	5.9	4.8	9.5	5.8	8.1	8.7	2.4	3.4	1.6	–6.3
GNP deflator	5.5	4.7	3.2	5.4	5.7	1.6	2.8	3.3	6.1	7.3	7.0	8.8	11.5

1 Change in inventory investment as per cent of GNP in previous period, annual rate.
Source: US Department of Commerce, *Survey of Current Business.*

influenced by the oil crisis. Increases in net exports, non-residential investment and State and local governments' purchases were about outweighed by declines in private consumption, Federal purchases, and residential construction.

The foreign sector was one of the most important elements of strength last year with the balance swinging from deficit at the end of 1972 to a large surplus by the end of 1973. In volume terms, the increase in net exports during 1973 amounted to about 1½ per cent of GNP. The main factors behind this development and other aspects of the foreign balance are analysed below.

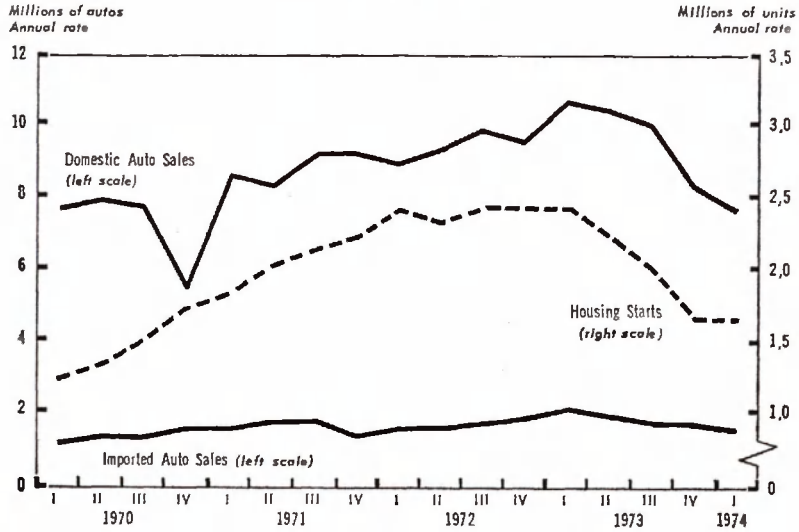
Business fixed investment demand remained strong last year, continuing the upswing that began in the fourth quarter of 1971. The rapid rise in demand up to early 1973 and the capacity shortages that developed in many industries were major factors behind the continuing increase. The advance has been particularly marked in the materials and equipment industries where capacity utilisation rates, although falling in recent months, are still high. Non-residential fixed investment fell somewhat in the first quarter of the present year because of a decrease in outlays for cars and trucks; but given the strength of business investment intentions surveys (see Part IV) the decline is unlikely to signal the end of the upturn in business fixed investment.

Rapid economic expansion and the introduction in 1972 of Federal revenue sharing have considerably improved the financial position of State and local governments, providing an important boost to real outlays which increased 6 per cent in 1972 and 6½ per cent last year. However, with receipts growing less than expenditures, their budget surplus on a national income accounts basis was progressively diminished from an annual rate of nearly $20 billion when revenue sharing was introduced at the end of 1972 to one of $6 billion in the fourth quarter of 1973. By the first quarter of 1974, the growth of State and local governments' real purchases had slowed to a 4 per cent annual rate. Continuing its downward trend of recent years, real Federal spending declined by 6 per cent in 1973, reflecting a policy of fiscal restraint. The sharp fall in Federal purchases in the fourth quarter of 1973 and the rebound in the first quarter of 1974 do not represent a shift in fiscal stance but rather are largely due to the accounting procedure used for the sale of arms to Israel[1].

Residential construction, after three years of rapid growth, reached a peak in the beginning of 1973 when housing starts attained an annual rate of 2.4 million units. The subsequent decline, at first moderate, intensified after mid-year as mortgage interest rates rose and funds were diverted away from deposits at thrift institutions into higher yielding short-term market instruments. With the spread between short and long-term rates narrowing considerably near the end of last year, the accompanying reflow of funds to thrift institutions increased the availability of mortgage funds and the decline in housing starts seemed to be levelling off at an annual rate of

1 Recent military equipment sales to Israel have been treated as a negative purchase of goods and services thereby reducing Federal military purchases in the national accounts by $ 2½ billion in the fourth quarter of 1973 and $ 0.6 billion in the first quarter of 1974.

Diagram 1 **Housing Starts and Automobile Sales**
Seasonally adjusted



Source: US Department of Commerce, *Survey of Current Business.*

about 1½ million units in the first quarter of 1974. But the tightening of monetary conditions and the renewed rise in interest rates in the spring have adversely affected the availability of mortgage funds. Real residential expenditures, following the movement in housing starts, also attained a peak in the first quarter of 1973 and declined 25 per cent by the first quarter of 1974.

The rise in private consumption in real terms, very strong over the year to the first quarter of 1973, slowed down thereafter and was replaced by a marked decline in the fourth quarter of 1973 and the first quarter of this year. Contributing to the weakening of real consumption were the tighter fiscal and monetary policies and the oil embargo. In the first quarter of 1974, when the direct effects of the oil embargo on activity were probably most pronounced, the growth of nominal personal income slowed abruptly. At the same time, consumer prices accelerated at even faster rates than experienced in 1973. As a result of these negative factors, real disposable income declined by more than 6 per cent at an annual rate, the sharpest fall in 25 years[1]. Consumers, attempting to cushion the effect of falling real incomes on their standard of living, reduced their savings rate from 7½ per cent at the end of 1973 to 6¾ per cent in the first quarter of 1974. This was insufficient to prevent a further decline in real consumption outlays which was almost entirely concentrated in energy-related areas such as automobiles, gasoline and electricity.

1 At annual rates, disposable personal income on an OECD basis increased by only 6 per cent while the consumption deflator rose 13 per cent. As a consequence, real disposable income fell by 6¼ per cent (annual rate) to the level reached a year earlier.

Inventory accumulation remained extremely low during most of 1973 as a large backlog of unfilled orders prevented firms from building up inventories to desired levels. The inventories-to-sales ratio for manufacturing and trade remained during most of the year at the lowest level recorded since 1948. As the economy turned down in the fourth quarter of last year and first quarter of 1974, real stockbuilding increased sharply, reflecting voluntary and perhaps some involuntary accumulation. The rise was especially severe in the automobile sector where real inventories rose nearly $4 billion at an annual rate in the fourth quarter as the oil crisis shifted consumer buying patterns from large to small cars. In the first quarter of 1974, however, sales from existing stocks reduced automobile dealers' inventories by slightly more than $4 billion, but at the end of the quarter the automobile inventories-to-sales ratio was still higher than normal.

Table 2 **Household Income, Consumption and Saving**
Percent change

	1969	1970	1971	1972	1973
Compensation of employees	10.0	6.7	6.7	9.8	11.0
Income from property[1]	6.8	5.5	4.5	5.2	10.7
Current transfers	10.4	20.2	17.8	10.5	14.1
Total personal income[1]	9.4	7.6	7.3	9.0	11.3
Personal taxes[1]	17.7	2.1	4.5	18.6	13.5
Disposable income[1]	7.3	9.1	8.0	6.6	10.7
Consumers expenditure, value	8.1	6.6	8.0	8.9	10.7
Saving[1]	–3.8	47.0	7.6	–18.6	10.8
Personal saving rate[1] (percent of disposable income)	6.2	8.3	8.3	6.3	6.4

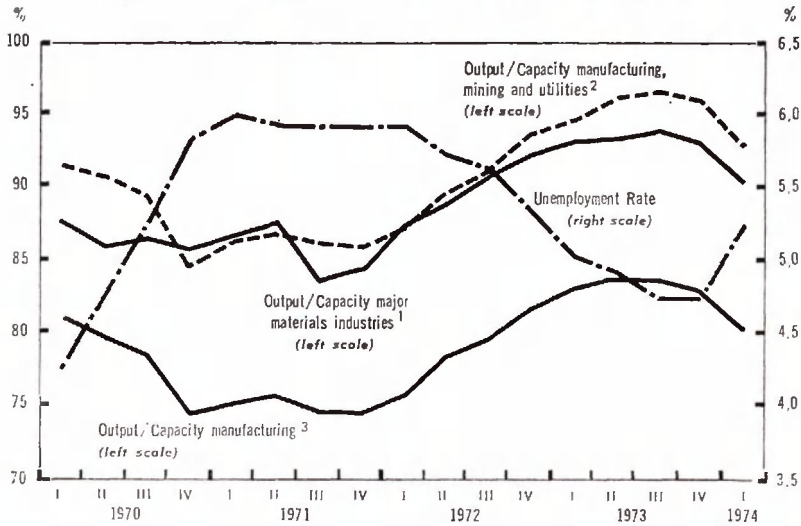
1 These concepts are on OECD definitions which differ from US official definitions somewhat. Personal taxes include social insurance contributions, which are not deducted in order to arrive at personal income, as done in the US definitions. Consumer interest payments are netted out against interest receipts in personal income, rather than appearing as a separate outlay as is done in the US definition. Thus, OECD personal income equals US personal income plus social insurance contributions and less consumer interest payments; OECD personal taxes equal US personal taxes plus social insurance contributions; and OECD disposable income equals US disposable income less consumer interest payments.

Sources: US Department of Commerce, *Survey of Current Business* and OECD Secretariat.

Pressures on resources, both labour and capital, eased by the end of last year (Diagram 2). Capacity utilisation rates in manufacturing and the major materials industries reached their highest levels in the third quarter of 1973 and have declined thereafter[1]. In the labour market, total employment, which increased sharply from mid-1971 to mid-1973, has grown only slightly since October. With the labour force increasing and employment stagnating, the unemployment rate has risen from the cyclical low of 4.6 per cent in October to 5.2 per cent in January. Despite continued weakness in the second quarter, the unemployment rate was still at this level in May, primarily because of an unusually slow growth of the labour force.

1 However, in a number of industries, such as chemicals and primary metals, shortages remain widespread.

Diagram 2 **Unemployment Rate and Output to Capacity Ratios**



NOTE Because of differences in estimating techniques, the Wharton and Federal Reserve Board indices are not comparable.

1 Federal Reserve Board index for basic steel, primary aluminium, primary copper, man-made fibers, paper, paperboard, wood pulp softwood, plywood, cement, petroleum refining, broadwoven fabrics, and yarn spinning.

2 Wharton index.

3 Federal Reserve Board index.

Sources: Federal Reserve Board, *Federal Reserve Bulletin* and Wharton E.F.A. Inc.

The balance of payments

During 1973 the balance-of-payments position strengthened considerably. In the first quarter of the year, the trade balance was still in large deficit and the official reserve transactions balance recorded a deficit about as high as that for the year 1972 taken as a whole. Since then a rapid improvement has taken place both in the trade and the service account. As a result the basic balance (current plus long-term capital transactions) for the year 1973 showed a small deficit, a dramatic improvement from the record $11¼ billion deficit of 1972.

The rapid change in the US external position was mirrored by exchange rate movements. During the first few months of the year, confidence that the balance of payments would recover was still rather weak and massive speculative capital flows precipitated a 10 per cent dollar devaluation in February. During the early phase of the subsequent mixed regime of managed floating rates, the dollar depreciated further, notably relative to EEC currencies. By July, the effective dollar rate against other OECD countries, i.e. average trade weighted changes in spot rates, was about 10 per cent below the level at the start of the year and about 19½ per cent below the level prior to the floating of the Canadian dollar in June 1970. The dollar strengthened in the second half of 1973 with the re-emergence of a

Table 3 **Balance of Payments**
OECD basis seasonally adjusted, millions of dollars

	1971	1972	1973	1972[2]				1973[2]			
				I	II	III	IV	I	II	III	IV
A CURRENT ACCOUNT											
Exports, fob[1]	42 754	48 768	70 252	11 655	11 534	12 357	13 222	15 228	16 670	18 143	20 211
Imports, fob	45 476	55 754	69 629	13 482	13 329	13 953	14 990	16 190	17 030	17 541	18 868
Trade balance	–2 722	–6 986	623	–1 827	–1 795	–1 596	–1 768	–962	–360	602	1 343
Services, net	2 554	975	3 918	64	73	402	438	769	479	1 081	1 591
BALANCE ON GOODS AND SERVICES	–168	–6 011	4 541	–1 763	–1 722	–1 194	–1 330	–193	119	1 683	2 934
Private transfers, net	–1 605	–1 624	–1 943	–404	–396	–385	–439	–404	–411	–412	–717
Official transfers, net	–2 043	–2 173	–1 933	–586	–558	–573	–457	–357	–645	–485	–447
CURRENT BALANCE	–3 816	–9 808	665	–2 753	–2 676	–2 152	–2 226	–954	–937	786	1 770
B CAPITAL ACCOUNT											
Long-term capital[3]	–6 970	–1 565	–1 699	–1 233	276	–763	156	–163	–395	1 127	–2 268
BASIC BALANCE	–10 786	–11 373	–1 034	–3 986	–2 400	–2 915	–2 070	–1 117	–1 332	1 913	–498
Non-monetary short-term private capital	–1 076	–589	–1 177	–129	–79	–309	–72	–701	–131	–190	–155
Errors and omissions	–9 776	–1 790	–2 776	816	–442	–1 294	–870	–4 085	904	–387	792
BALANCE ON NON-MONETARY TRANSACTIONS	–21 638	–13 752	–4 987	–3 299	–2 921	–4 518	–3 012	–5 903	–559	1 336	139
Private monetary institutions' short-term capital	–9 059	2 550	–607	–114	1 854	–388	1 198	–4 403	671	603	2 522
BALANCE ON OFFICIAL SETTLEMENTS	–30 697	–11 202	–5 594	–3 413	–1 067	–4 906	–1 814	–10 306	112	1 939	2 661

1 Excluding military.
2 Seasonally adjusted quarterly rates.
3 Excluding special transactions.

Sources: US Department of Commerce, *Survey of Current Business* and OECD Secretariat.

considerable trade surplus. Although there were some gyrations, the dollar appreciated markedly from October to January, partly because of the growing recognition of the improvement in the US balance of payments and partly because it was widely believed that the United States was in a better position than most of its trading partners to cope with the new oil situation. A reversal of these market expectations, combined with the removal of controls on capital flows and a widening of interest rate differentials, weakened the dollar in February and March.

(a) *Balance on current account*

The largest improvement occured in the trade account which swung from a deficit of $7 billion in 1972 to a surplus of $0.6 billion in 1973. The improvement resulted from a 44 per cent increase in the value of exports which far exceeded the 25 per cent rise in imports. The differential growth rates of export and imports are even more apparent in real terms as the volume of exports expanded by 25 per cent while imports were up only 5 per cent.

Both price developments and volume flows were strongly affected by a number of exceptional factors in 1973. Most important was the unusual coincidence of excessive boom conditions in nearly all industrial countries producing the strongest world trade expansion both in volume and value terms since the Korean war. The sharp rise in world market prices, notably commodity prices, was not only a result of worldwide supply shortages but also reflected a marked strengthening of inflationary expectations. Secondly, the cumulative effects of the depreciation of the dollar over the last two to three years reinforced the upward pressure on US foreign trade prices and stimulated at the same time the volume expansion of exports while discouraging real imports. A third important factor was the poor harvest abroad and a drastic decline in the catch of Peruvian anchovies, a major competitor on world markets of US soybeans as a source of animal feed.

The quantitative contribution of these three factors (the international trade cycle, the dollar devaluation and the world shortage of food supply) to the $7½ billion trade swing can only tentatively be assessed. Although the international business upswing resulted in a doubling of the rate of growth of US export markets in volume terms (Table 4), analysis based on the new OECD World Trade Model[1] suggests that differences among Member countries in annual average levels of output and capacity utilisation in 1973 as compared with 1972 did not account for a significant net change in the trade account[2]. The United States was, like most of her trading partners, in an advanced stage of the business cycle and levels of resource utilisation were broadly similar. The acceleration of international inflation, on the other hand, seems to have had a favourable net effect on the balance of

1 For a description of the trade model, see " A New Model of World Trade " by Lee Samuelson in OECD *Economic Outlook Occasional Studies*, Dec. 1973.

2 Although on a year-to-year basis there does not appear to have been a significant cyclical effect on the trade balance, on a quarterly basis there probably was a favourable cyclical influence after the first quarter as the US real growth rate slowed relative to that of its trading partners.

payments as the terms-of-trade deterioration of less than 2 per cent was considerably smaller than the depreciation of the dollar between 1972 and 1973.

The main factor behind the surprisingly small terms-of-trade loss in 1973 was the unparalleled 56 per cent rise in US agricultural export prices which exceeded by a large margin the 30 per cent oil price increase. As the volume of agricultural exports also increased sharply (20½ per cent), the growth of agricultural export earnings totalled nearly $8½ billion in 1973. The exceptionally large gains from agricultural exports thus were $1 billion more than the improvement in the trade account. This does not of course mean that worldwide shortages of food supplies and the resulting US agricultural export boom were the sole causes of the turnaround. In this context, it is relevant to note that there were two important adverse elements affecting the trade balance in 1973: first, the $3½ billion rise in the import bill of fuel and lubricants, and second, the upsurge of non-petroleum import prices which rose about twice as fast as non-agricultural export prices. With these substantial negative influences, it is obvious that the swing in the trade balance could not have occurred without an improvement in other trade flows as well.

The overall picture that emerges in 1973 from merchandise trade, excluding agricultural exports and petroleum imports, shows in fact a large improvement in volume terms (24 per cent growth in exports versus 2½ per cent in imports) which despite a sharp terms-of-trade deterioration, entailed also a significant improvement in value terms (33 per cent in exports versus 21 per cent in imports). Although temporary factors probably made a favourable contribution, there is little doubt that the lagged response of trade flows to exchange rate realignments was the primary cause of the swing in the US non-agricultural, non-petroleum trade position. On the import side, except for less price-sensitive components such as capital equipment, the growth in volume last year relative to domestic activity was very small or even negative. As a result, the share of real imports in GNP failed to rise after ten years of continuous increases. In addition to competitive factors, supply difficulties by foreign producers, increased availability of some metals from government stockpiles and self-imposed restraint on the part of Japanese exporters may have contributed to reducing imports.

On the export side, American firms were able to increase their share in foreign markets. This was in sharp contrast to the experience of the previous decade when US export markets grew consistently faster than the volume of US exports (Table 4). Non-agricultural export volumes probably increased 3 to 4 percentage points faster than their markets in 1973. As in the case of imports, some special factors may have contributed to the favourable performance. The tightening of price controls in June held prices of many non-agricultural goods far below the sharply rising world prices, thus encouraging some diversion of supplies abroad. The sharp increase in exports of copper last summer is symptomatic of this distortion[1].

1 For a detailed discussion of the shift to export markets of US copper scrap during the price freeze see testimony of Dr. John T. Dunlop, Director, Cost of Living Council, to the Subcommittee on Production and Stabilisation, Senate Committee on Banking, Housing and Urban Affairs, 6th February, 1974, Appendix p. 111-112.

Table 4 **Relative Impor**
Percentage chang

	1961	1962	1963	1964
Import Performance:				
(*a*) Merchandise imports	1.8	13.4	4.5	5.8
(*b*) Total demand[1]	1.8	6.8	4.0	5.5
(*c*) Import elasticity (*a*)/(*b*)	1.0	2.0	1.1	1.1
Export Performance:				
(*a*) Merchandise Exports	1.7	5.7	7.1	10.2
(*b*) Market growth	3.8	2.3	6.7	7.0
(*c*) Market gain (+) or loss (–) (*a-b*)	–2.1	3.4	0.4	3.2

1 Domestic demand plus exports.
Source: OECD Secretariat.

The depreciation of the dollar together with the sharp expansion in world economic activity also had a very favourable effect on the balance of invisible transactions in 1973. Following a decline between 1971 and 1972, there was a rather spectacular $2.8 billion improvement in 1973 concentrated in the latter half of the year. The surplus on investment income increased by $800 million, reflecting among other things changes in exchange rates and higher petroleum prices. With receipts from foreign travellers to the United States rising faster than expenditures abroad by US travellers, the travel deficit showed some reduction for the first time since 1968. There was also a sizeable reduction in the deficit on military transactions (excluding transfers under military grants) as sales of military equipment rose sharply while military expenditures abroad increased very little.

(b) *Capital transactions*

Under the present mixed regime of managed floating rates, one of the more useful measures of the underlying trend in the balance of payments is the basic balance, comprising current account transactions and long-term capital flows. In 1973, the basic balance was in deficit by about $1 billion as the $0.7 billion current account surplus was more than offset by net long-term capital outflows of $1.7 billion[1]. The improvement in the basic balance of some $10 billion from 1972 was wholly due to a swing in current account transactions, as net long-term capital outflows were some $0.1 billion higher in 1973 than in 1972 (all of which was higher net official outflows). Direct investment abroad as recorded in the balance of payments increased by about $1¼ billion to $4.9 billion in 1973, strongly influenced in the first quarter by anticipation of exchange rate changes and in the fourth quarter

1 The basic balance reported here uses the OECD definition of long-term government capital flows which, unlike the official US definition, excludes non-scheduled repayments of US government assets.

and Export Performance
in volume

1965	1966	1967	1968	1969	1970	1971	1972	1973
12.0	17.2	5.4	12.7	8.4	2.5	6.4	13.5	4.7
6.5	7.0	2.8	5.3	3.0	–0.2	3.3	6.4	5.8
1.8	2.5	1.9	2.4	2.8	–	1.9	2.1	0.8
2.5	4.1	2.5	6.4	9.2	5.4	–0.3	9.9	23.3
6.8	8.8	6.1	12.1	11.8	8.1	5.6	9.7	20.0
–4.3	–4.7	–3.6	–5.7	–2.6	–2.7	–5.9	0.2	3.3

by the relaxation of capital controls. As well, there was a continued high level of foreign purchases of US stocks and bonds and an unprecedented rise in net direct investment in the US to a level of $2.5 billion.

Short-term capital flows in 1973 (excluding errors and omissions) amounted to a net outflow of $1¾ billion. During the first quarter, outflows, influenced by exchange rate speculation, were greater than inflows by more than $5 billion (seasonally adjusted). Small net inflows were recorded in the second and the third quarters as US market interest rates moved up sharply. With anticipation of an appreciating dollar gaining force, net inflows increased substantially to $2½ billion in the fourth quarter, despite a decline in short-term interest rates relative to those abroad. Shifting exchange rate expectations also affected errors and omissions which after recording an outflow of about $4 billion in the first quarter, oscillated between smaller net inflows and outflows for the rest of the year.

The balance of official settlements in 1973 was in deficit by $5.6 billion as compared to a deficit of $11.2 billion in 1972. In the first quarter of 1973, massive speculation against the dollar was met by heavy official intervention in the foreign exchange markets, resulting in a $10.1 billion (unadjusted) deficit in the official settlements balance[1]. From mid-March until mid-July, when most important currencies were allowed to fluctuate vis-à-vis the dollar, continued speculation against the dollar was marked by a substantial depreciation of the dollar against major European currencies instead of a large increase in official liabilities as occurred in the first quarter. In the second half of the year, as the value of the dollar strengthened (averaging +5½ per cent from mid-July to end of December) foreign coun-

1 Under a generalised system of managed floating exchange rates, not only surpluses or deficits in reserve transactions, but also variations in exchange rates must be taken into consideration in analysing a country's overall balance-of-payments position. The official settlements balance of the US and the foreign exchange value of the dollar depend mainly on the balance-of-payments positions of foreign countries and the intervention decisions of their central banks.

tries intervened to slow the depreciation of their currencies viss-à-vis the dollar, resulting in an official settlements surplus of almost $4 billion (unadjusted). The effective strengthening of the dollar continued until the end of January when it was 4 per cent above end-of-December rates. Intervention by central banks continued in January and the official settlements balance was in substantial surplus.

At the end of January, the United States terminated its various capital controls and thereafter a certain easing of capital controls also occurred in some other major countries. These actions were seen as opening the way for increased intermediation between US and foreign markets, particularly in an outward direction from the United States. Prompted by interest rate considerations, this process began fairly quickly with US banks increasing their claims on foreigners by $2 billion in February and $2¾ billion in March. Downward movements of the dollar were also influenced by expectations that the oil embargo against the United States would be lifted (which subsequently occurred in March) and that the volume of oil imports would begin to rise substantially from levels then prevailing. The value of the dollar declined until the end of March. The dollar stabilized thereafter as US interest rates moved up while domestic short-term interest rates in Germany and the United Kingdom eased. Official intervention in foreign exchange markets in February and March was moderate; the rise in US official liabilities was largely a result of sizeable US official offshore borrowing and the placement of some oil-exporting countries increased revenues in dollar holdings in the United States.

For the first quarter as a whole, the official settlements surplus was $1.0 billion (seasonally adjusted), a substantial decline from the surplus of $2.7 billion in the last quarter of 1973. The trade account surplus fell to $0.1 billion, mainly reflecting the $1.9 billion rise in oil imports. Although the volume of oil imports declined by almost 20 per cent, prices more than doubled in the first quarter.

II INFLATION

The United States is experiencing the worst inflation since the Korean war. The GNP deflator rose by more than 7 per cent between the fourth quarters of 1972 and 1973, and advanced at an annual rate of 11½ per cent in the first quarter of the present year. However, inflation is not a new problem. Prices fluctuated during the 1950's in accordance with business cycles (with some time-lags). Five years of price stability in the early 1960's were followed by years of persistent inflation. Except for a short pause during the mini-recession of 1967, the price rise continued to accelerate through the latter half of the decade. While the acceleration was initially induced by excess demand, inflationary expectations and cost pressures fostered during the prolonged period of inflation also served to maintain high price increases during the 1969-70 recession. In 1971 and 1972, lagged effects of the recession and price/wage controls contributed to a marked

Diagram 3 **Development of Prices**
Percentage change from previous year

Source: US Department of Commerce, *Survey of Current Business.*

deceleration of inflation, but 1973 saw the resurgence of strong inflationary pressures. The causes of the present price explosion appear to be more complicated than those of past inflationary experiences. A number of factors abroad and at home, temporary as well as more fundamental, have contributed to the sharp rise in prices.

Acceleration of inflation 1966-1970

At the end of 1965, after five years of moderate but steady recovery from the 1960 recession, the unemployment rate was brought down to 4 per cent, thereby eliminating the gap between potential and actual GNP. It was at this time that the persistent acceleration in prices started. In 1966, the GNP deflator increased by 2.8 per cent, the highest rate recorded since 1958. The rate accelerated steadily during subsequent years, reaching 5.5 per cent in 1970. The predominant source of inflation in the second half of the 1960's was excess demand. Actual GNP continued to surpass

potential until 1969, and unemployment stayed at a historically low level. The change in the Federal budget on a full employment basis from a surplus $7¼ billion at an annual rate in the first half of 1965 to a deficit of $12 billion in the first half of 1967 was an important factor behind the strong expansion of aggregate demand. The sharp increase in Federal expenditures, notably defence outlays related to the Vietnam conflict, together with the boom in business fixed investment (Table 5) contributed to the emergence of bottlenecks in important sectors. The role of monetary policy is less clear. After a marked advance in 1965, the growth of the money stock showed a sharp deceleration in 1966, entailing a credit crunch at the end of the year. In 1967 and 1968, the money stock expanded significantly, but 1969 saw a marked deceleration. While the squeeze in 1966 helped to mitigate the price rise in 1967, the sharp increase in the money stock in 1967 and 1968 probably contributed to the marked strengthening of demand and inflationary pressures at a time when better balance was restored in the Federal government's budget.

Table 5 National Defence Expenditures and Non-residential Fixed Investment

	National Defence Expenditure		Non-residential Fixed Investment	
	$ billion	% changes	$ billion	% changes
1960	44.9	–2.4	48.4	7.3
1961	47.8	6.5	47.0	–2.9
1962	51.6	7.9	51.7	10.0
1963	50.8	–1.6	54.3	5.0
1964	50.0	–1.6	61.1	12.5
1965	50.1	0.2	71.3	16.7
1966	60.7	21.2	81.6	14.4
1967	72.4	19.3	83.3	2.1
1968	78.3	8.1	88.8	6.6
1969	78.4	0.1	98.5	10.9
1970	74.6	–4.8	100.6	2.1
1971	71.6	–4.0	104.4	3.8
1972	74.4	3.9	118.2	13.2
1973	74.2	–0.3	136.0	15.1

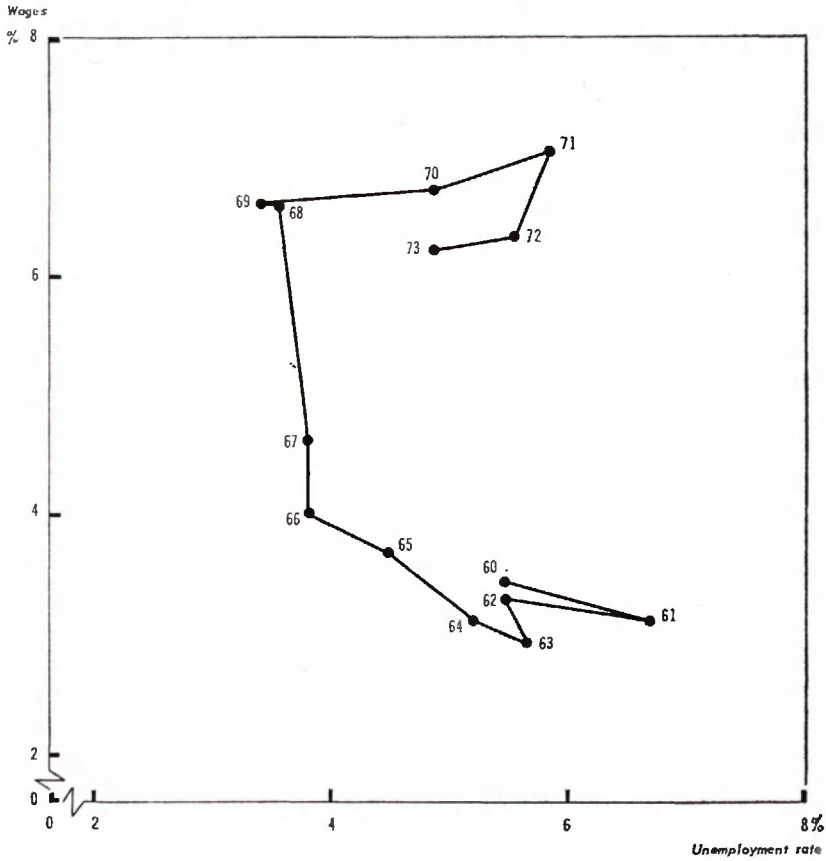
Source: US Department of Commerce, *Survey of Current Business.*

The rise in wages accelerated sharply in response to the tightening of the labour market, particularly after 1968. The acceleration was stronger than suggested by the " Phillips-curve " (which relates changes in wages to levels in unemployment), as wage claims and the employers' willingness to grant them seem to have been influenced by growing inflationary expectations. It is, however, difficult to find evidence, except in the construction industry, for the thesis that aggressive bargaining by powerful unions contributed importantly to the acceleration of wages.

When the economy plunged into recession at the end of 1969, demand pressures quickly subsided and the unemployment rate rose to 6 per cent. However, neither prices nor wages showed any marked deceleration during

the recession period. The GNP deflator and the consumer price index usually lag behind the business cycle, but wholesale prices of industrial commodities, which normally respond quicly to the turndown of demand, also showed a very slow response. The crude Phillips-curve relationship between wages and unemployment became inapplicable. It is possible that reduced price competition and increased bargaining power of unions have contributed to the stickiness of wages and prices; in 1970, the prices of wholesale commodities produced by " oligopolistic " industries increased more than those of " competitive " industries[1] and, although the growth in average hourly

Diagram 4 **Wage Changes and Unemployment**



NOTE Vertical axis refers to annual changes of hourly earnings, horizontal axis refers to the number of unemployed persons as percent of civilian labour force.

Source: US Department of Labor, *Employment and Earnings.*

1 See Appendix S to the Statement of Dr. Dunlop, before the Sub-Committee of Production and Stabilization, Senate Committee on Banking, Housing and Urban Affairs, 6th February, 1974.

earnings slowed, wage gains under collective bargaining accelerated, especially in the construction sector. Nevertheless, it is hardly realistic to attribute the weak response of wages and prices during the recession solely to the dominant market power of big firms and unions. After a protracted period of price acceleration, inflationary expectations may have become an important determinant of prices and wages, serving to maintain the inflationary spiral. Once this process is established, a short period of recession may not be sufficient to unwind it.

Slowdown of inflation 1971-1972

Following the shift towards greater policy ease in 1970, economic activity recovered in the first half of 1971. But the recovery was relatively weak and there was little visible progress in reducing unemployment. Moreover, the rate of inflation continued at a high, although reduced, rate and the balance of payments deteriorated further. The measures announced in August 1971 to resolve the dilemma included a 90-day wage-price freeze[1]. The freeze (Phase I) was replaced by mandatory controls (Phase II) in November. The controls adopted a general pay standard of 6.2 per cent on increases in wages and salaries, including fringe benefits, and aimed at bringing the consumer price rise down to 2-3 per cent annually.

The rise in prices slowed down markedly under Phases I and II. The increases in the GNP deflator and the consumer price index were the lowest recorded since 1968, and lower than the rates experienced by other major OECD countries. At the same time, output and demand recovered rapidly, and unemployment fell.

The fact that a more stable price trend was restored under Phases I and II does not necessarily mean that the controls were effective in slowing inflation. It is not unusual for the rise in prices to slow down during the early stage of recovery of activity, reflecting lagged effects of the recession and more stable unit labour costs as productivity growth picks up. To appraise the effects of the controls, it is necessary to estimate the development of prices which would have occured in the absence of the controls. This is obviously a difficult task. But a comparison of the movements of the GNP deflator and unit labour costs in 1972 with their trends during earlier recoveries of activity may throw some light on the issue. In 1972, contrary to the typical pattern of earlier recovery periods, the private non-farm deflator rose more slowly than non-farm unit labour costs. This may be an indication that prices would have risen faster in the absence of the controls. More sophisticated estimations by means of econometric models have been attempted. R. Gordon, using a price equation and a wage equation, concludes that non-farm prices would have risen 2.6 percentage points faster without the controls[2]. The simulation study of the Federal Reserve Board—MIT—Penn Model made by J. Enzler showed that, in the fourth quarter of 1972, the estimated price level was

1 For a full description, see *OECD Economic Survey of the United States*, April 1972.
2 Robert J. Gordon, " The Response of Wages and Prices to the First Two Years of Controls ", *Brookings Papers on Economic Activity*, 1973 No. 3.

Table 6 **Consumer Price Trends in Major OECD Countries**

Percent change over year earlier

	1961	1962	1963	1964	1965	1966	1967	1968	1969	1970	1971	1972	1973	1974 QI
US	1.1	1.2	1.2	1.3	1.7	2.9	2.8	4.2	5.4	5.9	4.3	3.3	6.2	9.9
Canada	0.5	1.2	1.8	1.8	2.4	3.7	3.5	4.1	4.5	3.3	2.9	4.8	7.6	9.7
Japan	5.3	6.8	7.5	3.9	6.6	5.1	4.0	5.3	5.2	7.7	6.1	4.5	11.7	24.1
France	3.3	4.8	4.8	3.4	2.5	2.7	2.7	4.5	6.4	5.2	5.5	5.9	7.3	11.3
Germany	2.3	3.0	3.0	2.4	3.1	3.7	1.7	1.6	1.9	3.4	5.3	5.5	6.9	7.4
Italy	2.1	4.7	7.5	5.9	4.6	2.3	3.2	1.4	2.6	5.0	4.8	5.7	10.8	13.6
UK	3.4	4.3	2.0	3.3	4.8	3.9	2.5	4.7	5.4	6.4	9.4	7.1	9.2	12.9

Source: OECD Secretariat.

Table 7 **Major Collective Bargaining Settlements**

	All industries		Manufacturing		Non-manufacturing (excl. construction)		Construction	
	First year changes	Changes averaged over life of contract	First year changes	Changes averaged over life of contract	First year changes	Changes averaged over life of contract	First year changes	Changes averaged over life of contract
1968	7.4	5.9	7.0	5.2	7.6	5.9	8.7	8.6
1969	9.2	7.6	7.9	6.0	9.6	7.4	13.1	13.1
1970	11.9	8.9	8.1	6.0	14.2	10.2	17.6	14.9
1971	11.6	8.1	10.9	7.3	12.2	8.0	12.6	10.8
1972	7.3	6.4	6.0	5.6	7.8	6.9	6.9	6.0
1973	5.8	5.2	5.9	4.9	5.9	5.5	5.2	5.2

Source: US Department of Labor, *News*.

2.3 percentage points above the actual. However, a study by Paul Earl using the Data Resources Inc. model indicates that when taken over their entire 2½ year existence, controls had almost no influence on the rise in prices and wages[1]. Further evidence was provided by Joel Popkin[2]. According to his study, during Phase II, retail prices of non-food commodities rose less than manufacturers' prices of consumer non-food commodities. This contrasts with the usual pattern and suggests that price controls were effective.

The effects of the wage control are more ambiguous. The acceleration of the rise in wages experienced since 1968 was reversed in 1972, with a marked deceleration of the wage gains in the major settlements; first year wage adjustments averaged 7.3 per cent, down from 11.6 per cent in 1971, and average annual adjustments over the life of the contracts totalled 6.4 per cent compared with 8.1 per cent in the previous year. The rise in the hourly earnings index, a more general indicator, slowed from a 7.0 per cent rise in 1971 to 6.5 per cent in 1972. Since unemployment fell, the deceleration was not due to easier labour market conditions. A simulation using an OECD wage equation "explains" the deceleration of wage increases mainly as a lagged effect of the slower rise in prices suggesting that the indirect effects of price controls were more important in moderating wage increases in 1972 than the direct effects of the wage controls. Gordon's econometric study mentioned above also supports this view. However, a close examination of the records of the Pay Board's activities suggests that the wage controls may have had some direct restrictive influence on collective bargaining. All union and non-union wage settlements covering more than 1 000 workers were submitted to the Pay Board and the Construction Industry Stabilization Committee and examined in the light of the 6.2 per cent guideline. Only about 7 per cent of the requests were reduced by the authorities, but this does not exclude that the existence of the wage ceiling could have had a moderating influence on initial wage claims and actual settlements.

The assessment of the impact of the wage-price controls must take into account the possibility that they could have had undesirable side effects, entailing distortions in resource allocation or inequities in income distribution. However, there was little clear evidence for this during 1972. Possible adverse influences on capital formation may also have been small or non-existent as business investment increased sharply in 1972 and 1973. However, it was generally felt that maintenance of strict controls over a prolonged period would lead to undesirable side-effects, and that this risk had clearly been enhanced by the acceleration of the rise in prices of farm products and imported materials towards the end of the year. Demands for more flexible price rules therefore became stronger. As a result, a self administered programme of control, Phase III, was introduced in January 1973.

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1 Appendix N to the Statement of Dr. Dunlop, *op. cit.*

2 Joel Popkin, " Prices in 1972: An Analysis of Changes during Phase 2 ", *Monthly Labor Review*, February 1973.

Reacceleration of inflation 1973-74

The rise in prices accelerated again in 1973. By December, the consumer price index was nearly 9 per cent and the wholesale price index more than 15 per cent above the year-earlier levels, both rising faster than in any year since the Korean war. A large part of increases was attributable to food and oil products. Food, with a weight of 23 per cent in the consumer price index and 29 per cent in the wholesale price index, accounted for about half the increase in both indices. Oil products accounted for 11 per cent of the wholesale price increase and 8 per cent of the consumer price increase. The sharp upturn in prices of other commodities such as metals, lumber and pulp also made a sizeable contribution to the rise in wholesale prices. Prices further accelerated in the first few months of 1974. In the first quarter, the consumer price index rose at an annual rate of 14 per cent and wholesale prices at a 30 per cent rate. Although oil products accounted for a large part of the price increases, the acceleration of inflation was widespread.

The acceleration of inflation since early 1973 can be ascribed to a number of factors. It may be convenient to distinguish between external and internal factors although the distinction is far from clear-cut given the impact of US developments on the world economy.

Table 8 **Contribution to Price Changes**

	Relative Importance (Dec. 1972)	Dec. 1972 - Dec. 1973		Dec. 1973 - March 1974	
		Percent changes	Contribution	Percent changes annual rate[1]	Contribution
Consumer Price Index					
All items	100.0	8.8	100.0	14.0	100.0
Food	22.5	20.1	50.8	22.2	38.2
Non-food commodities	40.1	5.0	21.5	13.1	34.9
of which:					
Gasoline and motor oil	2.9	18.6	5.4	102.7	16.1
Fuel oil and coal	0.7	44.7	3.1	84.8	4.4
Services	37.4	6.2	28.1	9.2	26.0
Wholesale Price Index					
All commodities	100.0	15.4	100.0	30.3	100.0
Farm products and processed foods and feeds	28.8	26.7	52.8	21.0	24.5
Industrial commodities	71.2	10.7	47.2	34.6	75.5
of which:					
Fuels and related products and power	7.1	24.3	11.1	142.2	27.7

1 Seasonally unadjusted.
Source: US Department of Labor, *News.*

(a) *External factors*

The main factors behind the steep rise in food and other commodity prices over the last two years are well known.

(*i*) The decline in world grain production in 1972, reflecting crop failures in the Soviet Union, India, China and certain other important areas was a major factor behind the rapid rise in food prices after mid-1972. This led to a sharp increase in US grain exports and domestic grain prices. Feed grain prices also rose steeply, mainly due to the failure of the Peruvian anchovy catch, with adverse effects on the production of livestock and poultry. This, in turn, combined with the trend increase of demand for protein food, pushed up prices of meat and chicken.

(*ii*) The strong and simultaneous expansion of activity in most OECD countries during the 12 months to mid-1973 led to shortages of many non-food commodities, including non-ferrous metals, and prices rose steeply. Demand for commodities remained strong into 1974 despite a slowdown of economic acticity, reflecting *inter alia* speculative purchases and the need to replenish depleted stocks.

(*iii*) During the last six months the sharp rise in oil prices has been a major factor.

As the United States is a major producer of food and many other commodities and forms an integral part of world commodity markets, domestic prices were immediately and directly affected by the boom in commodities[1]. Moreover, stronger inflation abroad has been transmitted to the United States via higher import prices which rose by 18 per cent between 1972 and 1973. Although the share of imports in GNP is relatively small (7.5 per cent including imports of services), the direct and indirect impacts of the sharply higher import prices on domestic prices were considerable. Assuming that the increase in import prices was passed through to domestic demand on a dollar for dollar basis (no leakages to exports and no changes in profit margins), the rise in import prices may have increased the domestic demand deflator by 1.2 percentage points[2]. In other words, of the 5.6 per cent rise in the domestic demand deflator between 1972 and 1973, some 20 per cent may be attributable to the direct impact of higher import prices.

(b) *Domestic factors*

Widespread capacity shortages played an important role in the soaring of prices in 1973. Capacity utilisation in the major materials industries rose sharply and reached a record rate of 93.5 per cent in the third quarter. There was also a sharp increase in unfilled orders for machinery and equipment. The shortages of capacity experienced in 1973 reflected both strong foreign and domestic demand and the relatively slow growth of capacity in recent years.

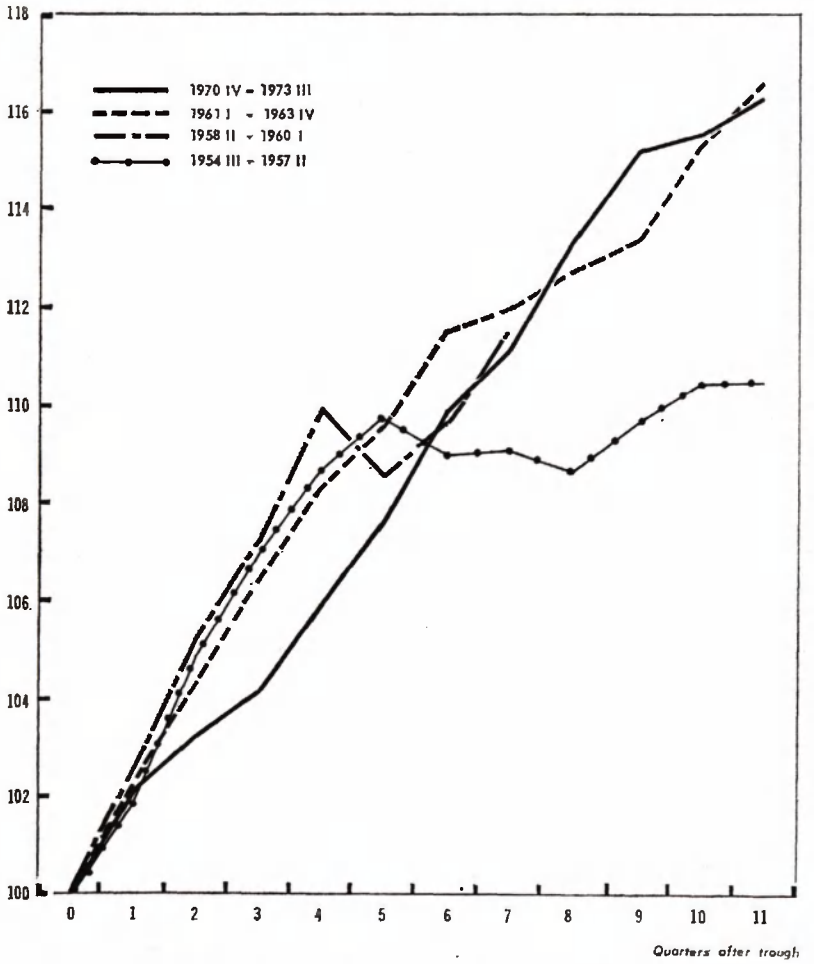
(*i*) Diagram 5 shows that the upsurge in domestic demand in late 1972 and early 1973 was one of the strongest since the late 1950's.

1 For a quantitative assessment of the influence of the commodity price rise on inflation last year see Joel Popkin, " Commodity Prices and the US Price Level ", *Brookings Papers on Economic Activity*, 1974 No. 1 (forthcoming).

2 The rise of import prices includes the influence of the dollar depreciation; however, this factor accounts for only one-fifth of the import price increase.

Economic policy during 1972 provided a strong stimulus to the economy perhaps because of misleading indicators, notably those relating to the degree of economic slack and money supply growth. In the second quarter of 1972, the unemployment rate was 5¾ per cent and the Council of Economic Advisers estimated that real GNP was about 4½ per cent below potential. Federal Reserve Board statistics showed manufacturing industries operating at 80 per cent of capacity. This statistical image of an economy with a large amount of available slack was certainly not in keeping with economic reality as was shown by the shortages exper-

Diagram 5 **Real Domestic Demand in Upswings**
Trough Quarter = 100



Source: US Department of Commerce, *Survey of Current Business.*

ienced in 1973. The money stock statistics available at the time also gave a somewhat misleading picture. The original figures suggested that the money stock was growing at an annual rate of 8½ per cent in the second half of 1972 and 6 per cent in the first half of 1973. But the revised figures published in February 1974 showed that the actual growth rate was considerably faster at 9½ per cent and 7¾ per cent respectively.

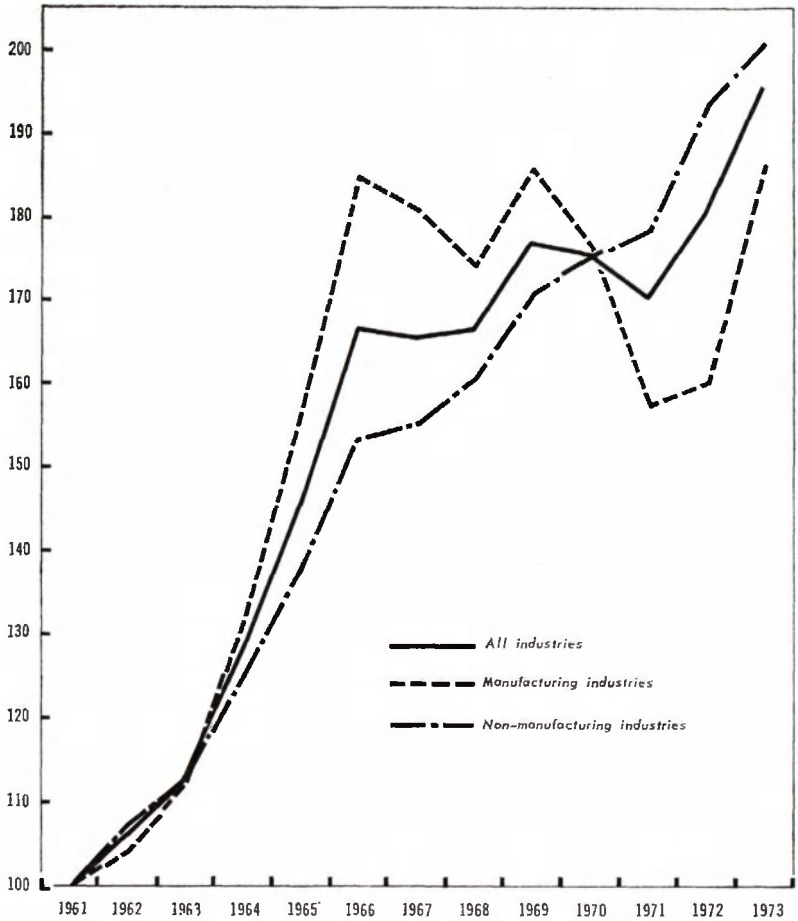
(*ii*) New plant and equipment expenditures in real terms rose sharply between 1961 and 1966, but showed little increase thereafter with fixed investment in manufacturing actually falling between 1966 and 1972. Domestic investment was adversely affected by the slowdown in 1967 and recession in 1969-70, the strong wage increases and lower profits after the mid-1960's, and the high profitability of US investment abroad. In addition, pollution control legislation may have served to reduce investment in some industries with high pollution abatement costs. Anti-pollution investments significantly increased the cost of capital outlays, diverting funds that might have been used to add to productive potential.

The depreciation of the dollar in 1973 also contributed to the acceleration of prices last year, but its direct contribution to the 18 per cent rise in the import deflator for goods and services seems to have been relatively small. The value of the dollar weighted by 1972 import shares depreciated by about 4 per cent from 1972 to 1973. The impact on import prices may well have been smaller, since foreign exporters may have lowered their local currency prices in order to maintain their market shares. On the other hand, it is possible that the effects of the earlier depreciations have only come through with some lag. The depreciation of the dollar could also have contributed to inflation in an indirect way by encouraging exports and discouraging imports thus aggravating the shortage of domestic supplies.

The rise in wages in 1973 was fairly moderate relative to price developments. The size of major collective bargaining settlements concluded during 1973 further diminished with gains from first year wage adjustments 1.5 percentage points down from the 7.3 per cent rate achieved in 1972 (Table 7). Average increases over the life of contracts also decelerated while the advance of hourly earnings was relatively steady. On the other hand the rise in compensation per manhour accelerated between 1972 and 1973, mainly reflecting large increases in employers' social security contributions. As the output per manhour declined after the second quarter, unit labour cost accelerated sharply towards the end of the year. However, the contribution of wage costs to acceleration of the price rise in 1973 as a whole seems to have been relatively moderate.

It is particularly difficult to estimate the effects of the wage-price controls in 1973. First, a number of elements which contributed to the price increase during the year were largely outside the control of the wage-price policy. Food shortages and the world-wide commodity boom were mainly generated by factors external to the United States. The sharp upsurge in domestic demand through the first quarter of 1973, partly due to previous expansionary demand management policy, greatly complicated the

Diagram 6 **Real Plant and Equipment Expenditures**
1961 = 100



Source: US Department of Commerce, *Survey of Current Business* and OECD Secretariat.

operation of price controls. Second, the price control rules were changed several times during the year. As noted, the mandatory control of Phase II was replaced on 11th January by the self-administered standards of Phase III. But in view of the rapid acceleration of prices, a freeze was re-introduced on 13th June, and Phase IV took effect on 12th August. Under Phase IV most industries were allowed only a dollar for dollar pass through of cost increases and, thus, represented a more restrictive system than Phase II. However, in the autumn, a process of sector by sector decontrol began.

Nevertheless, the price controls may have been effective for a period of time in a few areas in the sense that they held prices lower than they would have been without controls. Ironically, this was demonstrated by

the fact that some domestic products were diverted to exports and imports were discouraged. The reduced production of meat and chicken due to the price ceiling is another example. But the stabilizing impact on prices was shortlived since the supply shortages that developed served to increase price pressures in the subsequent period. On balance the price controls seem to have contributed little to price stability during 1973. The results of econometric studies do not seem to provide any firm information on this point[1].

As for wage controls, the effects appear to have been more positive than in 1972. As mentioned above, gains from major collective bargaining settlements diminished somewhat and the increase in hourly earnings was moderate considering the decline in unemployment and the sharp price rise.

Concluding remarks

The experience of the last ten years or so suggests some lessons for policy. First, the well-known point that maintaining a high degree of price stability under full employment conditions is an extremely difficult task; appropriate demand management is an essential condition for success, but whether it is a sufficient condition is not clear. Secondly, prolonged conditions of weak demand and under-utilisation of resources may contribute to price stabilization in the short run, but could well be harmful in the somewhat longer run because of adverse effects on fixed investment, entailing capacity shortages when higher level of activity is restored. Thirdly, inflation tends to create its own momentum, fed by inflationary expectations and consequential changes in the behaviour of the various groups of the population. Once an inflationary momentum has developed, it may take considerable time to restore more stable conditions although this obviously depends on measures employed.

It is difficult to assess the impact of the price-wage controls applied since August 1971. It would seem, however, that Phases I and II had some success in reducing inflationary expectations. There is some evidence that they exerted a stabilizing influence on both wages and prices in 1972 without generating important undesirable side-effects. But the situation changed markedly in 1973. Prices rose faster than at any time since the Korean war influenced by the world commodity boom, food shortages, the depreciation of the US dollar, excessive pressures on capacity in a number of domestic industries, and the rise in oil prices by OPEC countries during the last months of the year. In such circumstances, the operation of price-wage controls became very difficult. It is possible that prices would have risen faster in the absence of controls, but it is difficult to provide evidence for this. In certain areas, the price controls were harmful as they discouraged production and encouraged a diversion of domestic products to exports. The wage controls seem to have been successful in keeping down the rise in wages. Indeed, hourly earnings rose less fast than consumer prices in the course of the year,

1 Both the Gordon and the Wharton model studies estimate that price control reduced the price rise by 0.6 per cent in 1973, while the FRB-MIT-Penn model study suggests a negligible influence.

creating a decline in real earnings. Although a catch-up of wages is likely to occur at some stage, the relatively moderate rise so far has clearly been helpful from the point of view of keeping the rise in prices under reasonable control. And if the catch-up process is not too rapid, and if the rise in commodity prices is reversed in the not too distant future, it should be possible to achieve a deceleration of prices in the second half of this year and in 1975.

III DEMAND MANAGEMENT POLICY

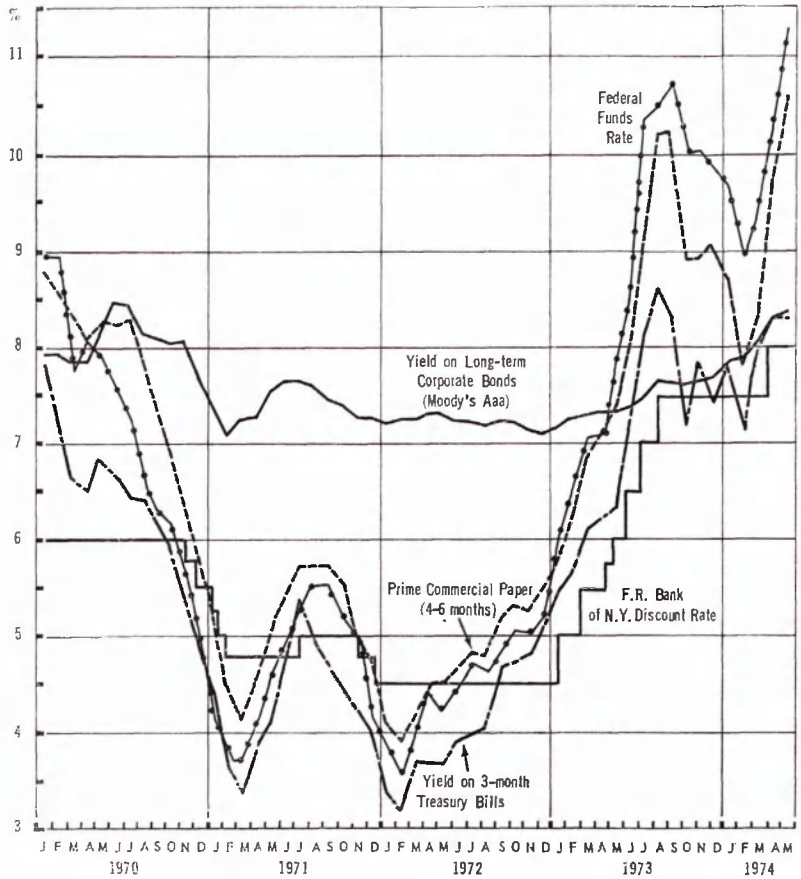
Monetary policy

The objective of monetary policy throughout most of 1973 was to reduce the rates of growth of the monetary aggregates with both the degree of restraint and the use of policy instruments varying during the course of the year. Reflecting the shift to a tighter policy stance, the money stock decelerated from an 9½ per cent seasonally adjusted rate of growth in the last half of 1972 to a 7¾ per cent rate in the first half of 1973 and a 4½ per cent rate in the second half (Diagram 8). In the first half of 1973, primary reliance was placed on an open market policy of providing reserves to the banking system at a rate of growth which was slower than that of the still rapid demand for bank credit. Total bank loans increased at an annual rate of nearly 25 per cent during that period, so that the 12 per cent growth rate in the Federal Reserve's security portfolio was sufficiently restrictive to pressure bank asset positions. In a mild effort to discourage use of Federal Reserve borrowing facilities, the authorities also raised the discount rate several times, from 4½ per cent at the start of 1973 to 7½ per cent by the middle of August. Concern that the growth of business loans might get beyond the control of either the commercial banks or the Federal Reserve prompted the regulatory authorities to send an open letter to large banks in April urging restraint in the granting of loan commitments.

Monetary policy was further tightened during the third quarter as both Federal Reserve credit and the money stock registered small absolute declines during the summer. Between late June and early July, the Board increased reserve requirements on most categories of bank liabilities, with the major exception of savings accounts and multiple-maturity time certificates. These increases effectively froze some $1.6 billion of bank assets. In order to relieve some of this extreme pressure on the banking system while continuing to discourage the very rapid loan expansion, the Federal Reserve Board removed its regulatory interest-rate ceilings on large negotiable certificates of deposit (CD's) in May and further loosened remaining ceilings on other CD's and on savings deposits in July, thus allowing interest rates to play a much greater role than previously possible in allocating available credit. With the cost of funds increasing and loan demand strong, interest rates rose sharply and by September many short-term rates had risen to record levels.

The final quarter of 1973 saw both a resumption of money supply growth and a deceleration in the growth of bank loans to more sustainable rates. By

Diagram 7 **Interest Rates**



Source: Board of Governors of the Federal Reserve System, *Federal Reserve Bulletin.*

December, the impending weakness in the economy, aggravated by the petroleum crisis, was of sufficient concern that the Federal Open Market Committee (FOMC) expressed its desire to shift to a somewhat less restrictive policy stance. Easier money market conditions did occur in early 1974. However, beginning in late February, interest rates began to rise sharply reflecting a resumed increase in demand for bank loans especially to finance purchases of inventories the value of which had risen rapidly because of inflation. Firms were also forced to borrow heavily because of a slowing of receipts as the economy turned down and because of historically low ratios of liquid assets to short-term debt[1]. A renewed tightening of the policy stance in

1 Corporate liquid assets rose $ 19 billion in 1973, while short-term corporate borrowing was extremely heavy, increasing by $ 33 billion. Depressed equity prices last year and an expectation of future lower long-term interest rate made stock issues and bond offerings relatively unattractive alternatives to short-term debt.

early March put further upward pressure on interest rates. Some additional demands for bank credit arose from foreign borrowers following the termination at the end of January of US programmes to control capital outflows. By the middle of May, many short-term rates had broken the record levels set in the summer of 1973. In addition to putting strong upward pressure on interest rates, the sharp expansion of bank loans contributed to a 10 per cent annual growth rate of the money supply from February to April, a rate in excess of that desired by the Federal Reserve. In order to slow the growth of monetary aggregates, the discount rate was raised to the record level of 8 per cent in late April.

There are a number of factors operating to hold interest rates around their historically high levels. Foremost among them is that the Federal Reserve may continue to regard high short-term rates as necessary to discourage excessive growth in bank credit and to restrain the monetary aggregates, thus helping curtail the rise in domestic prices[1]. In addition to the policy stance, there are a number of other factors that are likely to support high interest rates over the next few months:

(*a*) borrowing requirements of the business sector are likely to remain strong reflecting the slowing of receipts and the need to finance inventories;

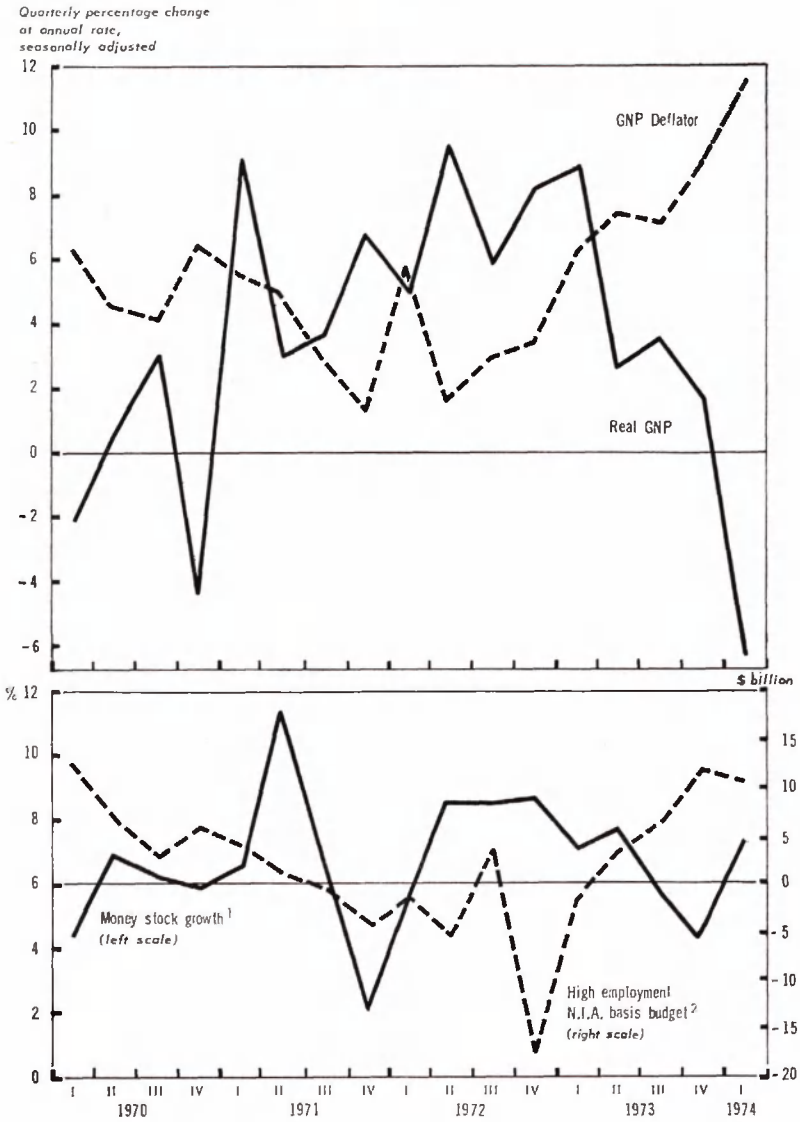
(*b*) high inflation rates of the past year have left investors uneasy about prospective values of financial assets and have correspondingly depressed prices and;

(*c*) the recently expanded freedom of foreign borrowers to enter the US capital markets strengthens the links between US and foreign interest rates; a continuation of high domestic rates is presently necessary to prevent increased capital outflows from the United States and a depreciation of the dollar.

In the absence of an official money supply target, the Secretariat has assumed that the annual growth rate of the money supply will be in the range of 6 to 8 per cent through mid-1975. On this basis, as 1974 progresses, forces pushing interest rates upward are likely to be gradually offset by a variety of factors with negative influences on interest rates. Domestic borrowing demands should grow more slowly in the second half of this year as most sectors of the economy which have required heavy use of debt instruments are likely to reduce their borrowing. These sectors include residential investment ($72.2 billion was raised through mortgages in 1973) as well as corporate capital spending and stockbuilding ($61.1 billion was raised through corporate debt instruments last year). Thus, the issuance of debt, which reached a record $178 billion in 1973, and which has apparently continued to grow in the early months of 1974, may slow somewhat in the final two quarters. Also, the foreign pressure on US interest rates may subside in the second half of

1 Since the domestic policy directives of the Federal Open Market Committee of the Federal Reserve System are made available to the public ninety days after each meeting of the Committee, it is not possible to specify the System's present interest rate target. At meetings from late January through mid-March, the Committee voted to conduct open market operations so as to permit the Federal funds rate to vary between 8¼ and 10 per cent. In the subsequent two months, the rate rose steadily to a historical high of 11½ per cent (Diagram 7); through mid-June it has remained around this level.

Diagram 8 **Growth, Inflation and Policy Indicators**



1 Quarterly percentage change at annual rate, seasonally adjusted.
2 $ billion, seasonally adjusted annual rate.

Sources: US Department of Commerce, *Survey of Current Business;* Federal Reserve Bank of St. Louis, *Federal Budget Trends* and *Monetary Trends.*

the year as a result of the expected investments by oil exporters in US markets; however, these may be offset to some extent by large foreign borrowing. The exact nature and timing of these international capital movements is at present one of the major sources of uncertainty concerning the course of interest rates. The net impact of these conflicting pressures should be to reduce the general level of interest rates. Short-term rates may be considerably lower by year-end but probably will still be above long-term rates. Thus. there may be relatively little impetus this year for a decline in long-term rates.

Fiscal policy

With demand rising rapidly and strong pressures on resources developing in early 1973, fiscal policy was shifted from expansion to restraint. The budget deficit fell to $2½ billion (annual rate) on a national income accounts basis in the first half of 1973 from $15½ billion in the previous half year. This swing reflects a high level of outlays in the second half of 1972 associated with a sharp rise in social security benefits and the introduction of Federal revenue sharing, and an increase of social security taxes in the first half of 1973. The Administration also succeeded in keeping outlays for fiscal 1973 below the self-imposed ceiling of $ 250 billion adopted in January[1].

To maintain sustainable growth and restrain inflation, the FY 1974 budget[2] proposed in January 1973 aimed at restoring a balanced budget position at full employment. Rather than increasing taxes, the Administration suggested that outlays should be limited to $268.7 billion on a unified basis, only 7.6 per cent over FY 1973. With receipts growing faster than expenditures, the budget deficit was expected to be reduced considerably. According to the official estimate made in May 1974, the Federal budget position for fiscal 1974 was more restrictive than initially planned. Because of the higher-than-expected rate of inflation, receipts exceeded the initial estimate by $10 billion, while outlays were kept almost in line with the original estimates.

Facing accelerating inflation and slower growth of output, the FY 1975 budget proposed in February aimed at restraining the decline of the economy, but injecting no fiscal stimulus to push the economy above its average growth path. The implication is that the budget supports the level of activity mainly through built-in-stabilizer effects generated by the slowdown in tax revenues and increased unemployment compensation. Outlays on a unified basis as revised in May are expected to rise by 13.3 per cent between FY 1974 and FY 1975. The main contributor to the increase is the 18 per cent rise in income security outlays which reflects increases both in benefits and the number of beneficiaries. Expenditures for natural resources, environment, and energy research and development are also expected to rise significantly, though their shares in total outlays are relatively small. Receipts are estimated to increase by 10.5 per cent. With receipts increasing slower than outlays, the

1 Congress did not approve the Administration's request in June and September 1972 for a statutory ceiling on Federal expenditures.

2 The fiscal year runs from 1st July 1973 to 30th June 1974.

Table 9 **Federal Government Budget**
Fiscal years, billions of dollars

	1973 actual	1974 (May 1974	1975 estimate)
Unified Budget :			
Budget receipts	232.2	266.0	294.0
Budget outlays	246.5	269.5	305.4
Deficit (–)	–14.3	– 3.5	–11.4
Full-employment receipts	243.0	276.0	312.0
Full-employment outlays	245.0	268.0	303.0
Full-employment surplus or deficit (–)	–2.0	8.0	9.0
National Income Accounts Budget :			
Budget receipts	243.3	278.2	304.3
Budget outlays	255.1	278.8	317.1
Deficit (–)	–11.8	–0.6	–12.8
Full-employment receipts	250.3	289.5	327.9
Full-employment outlays	253.1	276.3	315.0
Full-employment surplus or deficit (–)	–2.8	13.2	12.9

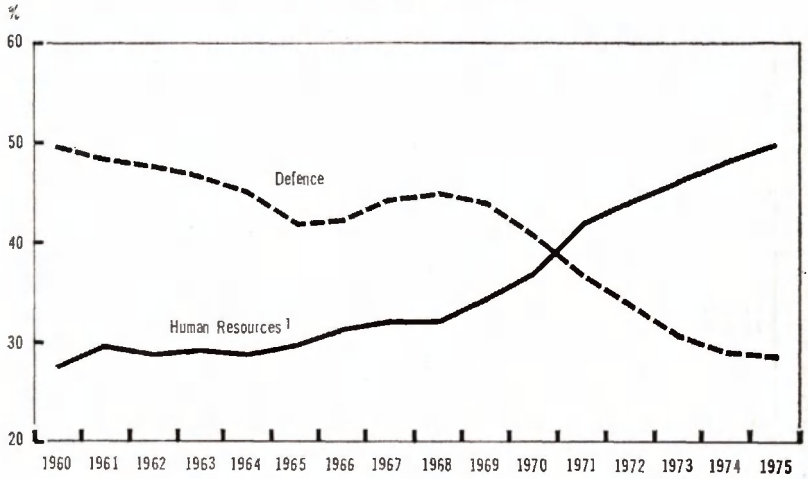
Sources: The Budget of the United States Government FY 1974, and Council of Economic Advisers, *Economic Developments and Policies*, 28th May, 1974.

budget deficit on a unified basis is officially expected to widen to $11.4 billion from $3.5 billion in the previous fiscal year. However, the full employment surplus on a national income accounts basis may register a surplus of $13 billion, virtually unchanged from previous fiscal year.

The composition of expenditures and receipts has changed importantly in recent years. National defence outlays rose sharply until FY 1968, but have since remained at the same level in nominal terms and have fallen sharply in real terms. On the other hand, expenditures on human resources[1], of which income security benefits constitute the largest portion, have risen significantly since FY 1969. As a result, the share of national defence outlays in total Federal expenditures fell to less than 30 per cent in FY 1974, down from 45 per cent in 1968, whereas the share of expenditures for human resources showed an almost corresponding increase (Diagram 9). Another new element in expenditures was the introduction of the general revenue sharing in FY 1973. In FY 1974, State and local governments are to receive more than $6 billion from the Federal government, 3 per cent of their total expenditures, for use in meeting their needs as they see them. These developments in the composition of budget outlays should promote more effective resource allocation and more even income distribution, but they may

1 Expenditures on human resources include outlays for Education and manpower, Health, Income security and Veterans Benefits services.

Diagram 9 **Federal Defence and Human Resource Outlays**
Percent of total outlays



1 Education and manpower, Health, Income security and Veterans benefits services.
Source: Executive Office of the President, *The United States Budget in Brief.*

have adverse effects on the operation of fiscal policy for short-term demand management purposes by reducing the share of Federal expenditures subject to discretionary control[1].

On the revenue side, the share of social insurance taxes in total Federal receipts has increased from 21 per cent in FY 1969 to 29 per cent in FY 1974. As the social insurance taxes are proportional or even regressive, given the ceiling on the tax base, the increase in their share implies a reduction in the built-in-stabilizer effect, with the elasticity of tax revenue to nominal GNP growth reduced.

IV ECONOMIC OUTLOOK

The Secretariat forecast is based on the assumption that Federal expenditures and receipts will be kept close to the official estimates made in May (Table 9). Moreover, it is assumed that money supply growth will be maintained at an annual rate of around 6 to 8 per cent throughout the forecast period. On these assumptions, the Secretariat's forecast points to a

1 Moreover, the increase in the share of human resource expenditures tends to imply a rise in the relative importance of transfer payments, the multiplier effects of which are probably smaller and coming through more slowly than those of government purchases of goods and services. The implication may be that to achieve a given effect on aggregate demand in the short-run will require a bigger change in budget expenditures than earlier.

Table 10 **Demand and Output Forecasts, volume**
Seasonally adjusted, percent changes at annual rates

	1972	1973	1974	1973		1974		1975
				I	II	I	II	I
Private consumption	6.1	5.1	–1	6.5	0.6	–2¾	1	3
Public expenditure	3.3	1.2	2¾	3.0	–0.4	4	3¼	2½
Federal government purchases	–0.2	–6.0	½	–1.7	–7.3	3	2½	1
State and local government purchases	6.1	6.5	4¼	6.3	4.4	4½	3½	3½
Gross private fixed investment	12.6	7.0	–4½	11.0	–0.9	–8¾	¾	2¾
Non-residential fixed investment	10.0	10.6	2¾	14.3	5.5	½	3¾	2½
Residential fixed investment	19.3	–1.7	–24	2.7	–16.2	–33½	–9¼	4
Final domestic demand (excluding stocks)	6.5	4.7	–1	6.6	0.2	–2½	1½	2¾
Plus change in stock-building[1]	0	.1	–¼	–0.8	1.1	–1	–¼	0
Plus change in foreign balance[1]	–0.3	1.1	¾	1.1	1.4	¾	¼	¼
GNP	6.1	5.9	–½	6.9	2.7	–2¾	1½	3
GNP implicit price deflator	3.2	5.4	9	5.7	7.5	10¼	8¼	6½

1 The yearly and half-yearly rates of change refer to changes in stockbuilding and in the foreign balance expressed as a percentage of GNP in the previous period. These two figures plus the rate of change of final domestic demand broadly equal the rate of change of GNP. In practice, however, divergencies are possible because the rate of change of final domestic demand is not expressed as a percentage of GNP.

Sources: US Department of Commerce, *Survey of Current Business* and OECD Secretariat.

period of slow growth during the next 12 months, entailing a rise in the unemployment rate to about 6¼ per cent. Positive real growth is expected to resume at a modest pace in the second half of this year and inflation should begin to decelerate. For the year as a whole, real GNP may be about ½ per cent lower than in 1973 while the GNP deflator may be about 9 per cent higher. The Administration foresees a stronger recovery in the second half of 1974 with real GNP growing close to the potential rate, 4 per cent. For the year 1974, the Administration forecasts a zero growth rate[1].

In the Secretariat's forecast, inflation is expected to remain strong for some time to come, thus the growth of real income and real consumption is likely to be weak, even assuming an acceleration of wages does occur[2]. With real disposable income resuming positive growth rates after mid-year and unemployment rising, it is likely that some small precautionary saving will occur entailing a rise in the savings rate to around 7 per cent in the first half of 1975. On the basis of this real income and savings pattern, real consumption is expected to accelerate gradually to about a 3 per cent rate in the first two quarters of 1975.

The April-May Commerce Department survey of 1974 investment plans showed a 12.2 per cent increase in nominal outlays, a decline from the 13 per cent estimate made in January-February. In real terms, non-residential fixed investment may rise by 2¾ per cent this year and somewhat less in the first half of 1975 as the excess capacity created by the slow growth of real output reduces the need for new plant and equipment. Housing starts have been at about a 1½ million unit annual rate this year, in contrast to the 2½ million rate of early 1973. While government subsidies will help support house-building this year, the underlying economic factors—declining real incomes in the first half of 1974, rising unemployment, an outflow of funds from mortgage institutions and historically high mortgage rates—are likely to prevent a sharp turnaround in residential construction. Housing starts may remain around 1½ million units during the remainder of this year and increase to 1¾ million units in the first half of 1975. Inventory accumulation in real terms was $12.5 billion in the fourth quarter of last year but only $4.9 billion in the first quarter of 1974. This marked slowdown suggests that whatever involuntary inventory accumulation may have occurred is now over. With slow real growth forecast through mid-1975 and commodity prices likely to stabilize, stockbuilding will probably remain weak.

On the basis of the revised budget projections made in May, real Federal government purchases of goods and services may increase somewhat during the present year and then remain level during the first half of 1975. State and local government purchases in 1973 were exceptionally strong, largely because revenue sharing funds distributed in 1972 were frequently not included in 1972 budgets but spent in 1973. In 1974 and early 1975, State and local government purchases are likely to grow at considerably slower rates.

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1 Most private forecasts tend to show about a zero growth rate for 1974 with a recovery of varying degrees of strength into 1975.

2 The heavy collective bargaining schedule this year, the increasing frequency of escalator clauses and the growing belief that workers are entitled to some salary adjustment for the rapid inflation, make it unlikely that the slow growth of nominal wages and salaries per employee which occurred in the first quarter will continue.

Table 11 Trade Balance Outlook
Seasonally adjusted, millions of dollars

	Actual		Forecast 1974	Actual				Forecast		
	1972	1973		1972		1973		1974		1975
				I	II	I	II	I	II	I
Exports[1], fob	48 768	70 252	96 050	23 189	25 579	31 898	38 354	47 150	48 900	51 500
Imports, fob	55 754	69 629	98 700	26 811	28 943	33 220	36 409	47 500	51 200	54 200
Trade balance	–6 986	623	–2 650	–3 622	–3 364	–1 322	1 945	–350	–2 300	–2 700

1 Excluding military.
Sources: US Department of Commerce, *Survey of Current Business* and OECD Secretariat.

The real trade balance is expected to increase during the forecast period as cumulative effects of past dollar depreciation and the relatively slower growth of output and of prices in the United States than abroad offset the levelling-off of agricultural exports. In nominal terms, the trade balance is likely to swing back into substantial deficit perhaps in the range of $2-4 billion in 1974 and $5-7 billion at an annual rate in the first half of 1975 predominantly because of the higher oil prices posted in late 1973 and a decline in agricultural export prices after mid-1974. Higher oil prices are likely to result in oil imports of the order of $25 billion in 1974 and slightly larger in the first half of 1975. By comparison oil imports were $9 billion in 1973. Considering the range of possible movements of oil and agricultural prices, trade forecasts are subject to an extremely high degree of uncertainty.

As is usual at turning points of business cycles, or perhaps more than usual because of unique features of the current situation, there are a number of uncertainties that cloud over the forecast. The most important are the price developments for the year ahead and the implication for monetary policy. Should the rate of inflation stay higher than expected, a slower recovery in real income may result in stagnant economic activity through the forecast period. A sharp rise in wages and salaries might offset the higher price increase, but the effect would be only temporary, because this in turn would exacerbate the inflation, leaving real income virtually unchanged. The effects of monetary policy assumed above may be more severe than projected, with interest rates remaining at high levels and availability of funds more limited. If this is the case, the recovery of housing construction would be further delayed and business investment plans decreased. On the other hand, a quick recovery of consumer confidence may result in a further decline in the savings ratio and a faster growth rate in the second half of this year and the first half of next year.

V CONCLUSIONS

Despite rising unemployment, restoration of more stable prices is the major economic policy issue facing the Administration at the present time. Failure to do so during the current pause in economic expansion could well lead to even higher rates of inflation during the subsequent recovery of activity. But it is not easy to devise a convincing anti-inflationary strategy. While incomes policies in one form or another have been applied in a number of countries including the United States, there are few examples of success over an extended period. Moreover, the persistence of inflationary pressures during recent periods of economic slowdown in the United States and other countries suggests that prices and wages are less promptly responsive to conditions of slack than previously. Thus, if it is to serve as an effective anti-inflationary weapon, restrictive demand management policy needs to be continued over a considerable period of time entailing higher economic and social costs than earlier.

However, there would seem to be a crucial special feature in the present situation suggesting that maintenance of a certain degree of slack could fairly promptly induce a deceleration of inflation. To a large extent, the loss of price stability last year was caused by the rapid increase in commodity prices, principally resulting from the world-wide economic expansion but reinforced by supply conditions and speculative purchases. Since commodity prices are highly flexible upwards and downwards, a period of slow growth in the United States and abroad should help puncture the speculative boom bringing non-farm prices down to more reasonable levels. Such a fall in prices, combined with an expected large harvest and more stable oil prices would in turn greatly reduce the danger of a wage-price spiral. Prices over the past year have risen faster than wages, creating pressures for a restoration of real incomes. Maintaining a margin of slack during the period ahead would help to phase out this catching-up process.

Demand management will therefore have an important role to play in restoring better price stability, but the question arises how far it is reasonable to go in restraining the growth of demand. A certain margin of slack has already developed. Capacity utilisation rates in manufacturing have fallen over the last two quarters, and the rate of unemployment has risen. Beyond some point, continued slow growth and rising unemployment would result in unacceptably high social and economic costs producing political pressures for an excessive swing from restrictive to expansionary policies. Thus, from the domestic point of view it seems clearly desirable that the American economy should go through a period of restrained growth, with some slack, and without excess demand pressure, but that the growth should not be "too" slow and the slack should not be "too" great. In the *Economic Report of the President* published in January, the Administration took a similar view, arguing for a moderate expansion of real output close to the potential growth rate (estimated at 4 per cent) thereby arresting the rise in unemployment.

The same balance of considerations is important from the international point of view. Inflation has become a pressing problem abroad as well. A

demonstration of firm intent and success by the United States would constitute an imporant anti-inflationary influence in other countries. A serious US recession would, of course, have important repercussions abroad. Countries with difficult balance of payments positions will be seeking to improve their current accounts by, among other things, increased exports. A too weak domestic demand picture in the US would be an obstacle to this.

These considerations, domestic and international, do not point immediately to any prescription for a change of policy. The US Administration believes that with present policies the economy is on the desired path to a moderate expansion, which will keep the unemployment rate from reaching 6 per cent but which will not accelerate the inflation again. The Administration has recently indicated that moderately more restrictive steps may be needed. At the same time the Administration does not rule out the possibility of adversities that would require more general stimulative action, and it has favoured certain selectively supportive measures with respect to housing, public service employment and unemployment insurance. The Secretariat's forecast, on the other hand, describes an economy which is closer to the need for more expansive policy.

The situation should become clearer when the indicators for the spring months are available. It may, therefore, be prudent to wait until the summer to judge whether policy measures are needed to ensure a smooth return to potential growth. If it became clear that stimulative measures were called for, it would be preferable to employ measures likely to have an immediate impact. Such measures would help to ensure a moderate and steady advance of the economy, thus reducing the risk of excessive slack conditions in the second half of the year followed by an unduly strong policy response and a too rapid expansion at a later stage.

STATISTICAL ANNEX

Table A National Product and Expenditure in Current Prices

Billions of dollars; quarterly data seasonally adjusted at annual rates

	Personal consumption expenditures	Gross private domestic investment	New construction	Producers' durable equipment	Change in business inventories	Net exports of goods and services	Govt. purchases of goods and services	Federal	State and local	Gross national product
1957	281.4	67.9	38.1	28.4	1.3	5.7	86.1	49.5	36.6	441.1
1958	290.1	60.9	37.4	25.0	–1.5	2.2	94.2	53.6	40.6	447.3
1959	311.2	75.3	42.1	28.4	4.8	.1	97.0	53.7	43.3	483.7
1960	325.2	74.8	41.0	30.3	3.6	4.0	99.6	53.5	46.1	503.7
1961	335.2	71.7	41.0	28.6	2.0	5.6	107.6	57.4	50.2	520.1
1962	355.1	83.0	44.6	32.5	6.0	5.1	117.1	63.4	53.7	560.3
1963	375.0	87.1	46.5	34.8	5.9	5.9	122.5	64.2	58.2	590.5
1964	401.2	94.0	48.3	39.9	5.8	8.5	128.7	65.2	63.5	632.4
1965	432.8	108.1	52.8	45.8	9.6	6.9	137.0	66.9	70.1	684.9
1966	466.3	121.4	53.5	53.1	14.8	5.3	156.8	77.8	79.0	749.9
1967	492.1	116.6	53.1	55.3	8.2	5.2	180.1	90.7	89.4	793.9
1968	536.2	126.0	60.4	58.5	7.1	2.5	199.6	98.8	100.8	864.2
1969	579.5	139.0	66.9	64.3	7.8	1.9	210.0	98.8	111.2	930.3
1970	617.6	136.3	67.3	64.4	4.5	3.6	219.5	96.2	123.3	977.1
1971	667.2	153.2	80.6	66.5	6.1	.8	234.3	98.1	136.2	1 055.5
1972	726.5	178.3	95.7	76.5	6.0	–4.6	255.0	104.4	150.5	1 155.2
1973	804.0	202.1	106.4	87.8	8.0	5.8	277.1	106.6	170.5	1 289.1
1970: 1st quarter	604.6	133.1	66.7	64.3	2.1	3.6	217.2	99.5	117.8	958.5
2nd quarter	614.0	135.4	65.6	64.9	4.9	3.9	217.3	95.8	121.5	970.6
3rd quarter	623.7	139.2	66.8	66.5	6.0	4.2	220.3	94.7	125.6	987.4
4th quarter	628.3	137.4	70.3	62.0	5.1	2.8	223.3	94.8	128.5	991.8
1971: 1st quarter	650.0	145.5	74.1	64.4	7.0	3.8	227.9	96.1	131.8	1 027.2
2nd quarter	662.2	152.7	79.1	66.0	7.6	.5	231.5	96.7	134.8	1 046.9
3rd quarter	673.0	153.8	83.2	66.3	4.3	1.1	235.5	98.2	137.3	1 063.5
4th quarter	683.4	160.8	86.0	69.5	5.3	–2.2	242.2	101.2	141.0	1 084.2
1972: 1st quarter	700.2	167.5	92.8	73.1	1.7	–5.5	250.3	106.0	144.3	1 112.5
2nd quarter	719.2	174.7	94.3	74.9	5.5	–5.7	254.2	106.7	147.5	1 142.4
3rd quarter	734.1	181.5	95.8	77.0	8.7	–3.8	254.7	102.3	152.4	1 166.5
4th quarter	752.6	189.4	99.9	81.2	8.2	–3.5	260.7	102.7	158.0	1 199.2
1973: 1st quarter	779.4	194.5	104.3	85.5	4.6	.0	268.6	105.5	163.0	1 242.5
2nd quarter	795.6	198.2	106.8	86.9	4.5	2.8	275.3	107.3	168.0	1 272.0
3rd quarter	816.0	202.0	108.7	88.6	4.7	7.6	279.0	106.8	172.2	1 304.5
4th quarter	825.2	213.9	105.7	90.1	18.0	12.8	285.6	106.8	178.8	1 337.5
1974: 1st quarter	844.6	198.9	103.2	90.2	5.5	10.9	297.8	112.1	185.7	1 352.2

Source: US Department of Commerce, *Survey of Current Business.*

Table B **National Product and Expenditure in Constant Prices**

Billions of 1958 dollars; quarterly data seasonally adjusted at annual rates

	Personal consumption expenditures	Gross private domestic investment	New construction	Producers' durable equipment	Change in business inventories	Net exports of goods and services	Govt. purchases of goods and services	Federal	State and local	Gross national product
1957	288.2	68.8	38.4	29.1	1.2	6.2	89.3	51.7	37.6	452.5
1958	290.1	60.9	37.4	25.0	–1.5	2.2	94.2	53.6	40.6	447.3
1959	307.3	73.6	40.9	27.9	4.8	.3	94.7	52.5	42.2	475.9
1960	316.1	72.4	39.3	29.6	3.5	4.3	94.9	51.4	43.5	487.7
1961	322.5	69.0	39.0	28.1	2.0	5.1	100.5	54.6	45.9	497.2
1962	338.4	79.4	41.7	31.7	6.0	4.5	107.5	60.0	47.5	529.8
1963	353.3	82.5	42.7	34.0	5.8	5.6	109.6	59.5	50.1	551.0
1964	373.7	87.8	43.3	38.7	5.8	8.3	111.2	58.1	53.2	581.1
1965	397.7	99.2	46.1	44.0	9.0	6.2	114.7	57.9	56.8	617.8
1966	418.1	109.3	45.3	50.1	13.9	4.2	126.5	65.4	61.1	658.1
1967	430.1	101.2	43.0	50.6	7.7	3.6	140.2	74.7	65.5	675.2
1968	452.7	105.2	46.6	52.2	6.4	1.0	147.7	78.1	69.6	706.6
1969	469.1	110.5	48.0	55.8	6.7	.2	145.9	73.5	72.4	725.6
1970	477.5	103.4	45.9	53.5	3.9	2.3	139.3	64.3	75.0	722.5
1971	496.3	110.3	51.5	53.6	5.3	.4	138.4	60.9	77.5	745.4
1972	526.8	122.9	57.6	60.8	4.6	–2.0	143.0	60.8	82.2	790.7
1973	553.9	132.2	58.9	67.7	5.6	6.7	144.7	57.1	87.6	837.4
1970: 1st quarter	474.3	102.6	46.3	54.4	1.9	2.0	142.3	68.8	73.7	721.2
2nd quarter	477.5	103.5	44.7	54.3	4.4	2.1	139.1	64.5	74.6	722.1
3rd quarter	480.9	105.4	45.4	55.1	4.9	3.0	138.0	62.4	75.5	727.2
4th quarter	477.5	102.1	47.2	50.4	4.5	2.0	137.8	61.8	76.0	719.3
1971: 1st quarter	489.5	106.6	48.8	51.9	5.8	2.4	136.7	60.1	76.6	735.1
2nd quarter	493.6	110.3	50.9	52.9	6.5	–.2	136.7	59.9	76.8	740.4
3rd quarter	498.0	109.5	52.3	53.2	4.0	.8	138.6	61.1	77.5	746.9
4th quarter	504.1	114.8	53.8	56.3	4.7	–1.6	141.6	62.5	79.1	759.0
1972: 1st quarter	512.5	116.5	57.0	58.4	1.1	–3.7	142.7	63.0	79.7	768.0
2nd quarter	523.4	121.0	57.2	59.5	4.3	–2.8	144.0	62.9	81.1	785.6
3rd quarter	531.0	124.8	57.4	60.7	6.6	–.9	141.8	58.8	83.0	796.7
4th quarter	540.5	129.1	58.4	64.3	6.3	–.8	143.5	58.6	85.0	812.3
1973: 1st quarter	552.7	130.2	59.4	67.4	3.3	2.0	144.4	58.2	86.2	829.3
2nd quarter	553.3	130.2	59.7	67.2	3.4	5.6	145.2	58.2	87.0	834.3
3rd quarter	558.1	130.8	59.7	68.0	3.0	7.4	145.0	57.2	87.8	841.3
4th quarter	551.3	137.6	56.7	68.3	12.5	11.6	144.1	54.9	89.2	844.6
1974: 1st quarter	547.2	124.5	54.0	67.0	3.5	12.5	146.8	56.7	90.1	831.0

Source: US Department of Commerce, *Survey of Current Business.*

Table C **Monetary Indicators**
Seasonally adjusted (in billions of dollars)

	Money Supply[1]			Gross Loans and Investments at Commercial Banks[2]			
	Total	Currency	Demand deposits	Total[3 4]	Loans[3 4 5]	Securities US Treasury	Securities Other[4 5]
1966 : December	175.4	38.3	137.0	316.1	213.9	53.5	48.7
1967 : December	186.9	40.4	146.5	352.0	231.3	59.4	61.3
1968 : December	201.5	43.4	158.1	390.2	258.2	60.7	71.3
1969[6] : December	208.6	46.1	162.5	401.7	279.1	51.5	71.1
1970 : December	221.2	49.1	172.2	435.5	291.7	57.9	85.9
1971 : December	235.2	52.6	182.6	484.8	320.3	60.1	104.4
1972 : December	255.7	56.9	198.7	556.4	377.8	61.9	116.7
1973 : January	256.7	57.1	199.6	564.7	385.8	61.8	117.1
February	257.9	57.5	200.4	575.4	397.2	60.6	117.6
March	258.1	58.0	200.1	583.6	405.8	60.4	117.4
April	259.4	58.6	200.8	589.6	411.1	61.0	117.5
May	262.4	58.9	203.4	597.7	417.4	61.0	119.3
June	265.5	59.4	206.2	602.0	420.3	61.6	120.1
July	266.4	59.5	206.9	608.8	427.5	59.8	121.5
August	266.3	59.8	206.4	617.4	435.9	57.9	123.6
September	265.5	60.2	205.3	620.2	439.1	56.4	124.7
October	266.6	60.5	206.1	624.2	441.1	55.1	128.0
November	269.2	61.0	208.2	628.4	445.5	55.0	127.9
December	271.4	61.7	209.7	630.3	447.3	52.8	130.2
1974 : January	270.8	61.9	208.9	638.0	452.3	54.4	131.3
February	273.7	62.7	211.1	645.7	457.1	56.2	132.4
March	276.2	63.4	212.9	654.9	466.3	56.2	132.4
April	278.1	64.0	214.1	663.2	473.7	56.7	132.8
May	279.3	64.5	214.8	668.6	478.0	56.7	133.9

1 Average of daily figures.
2 Data are for last Wednesday of month.
3 Adjusted to exclude domestic commercial interbank loans.
4 Beginning June 9, 1966, about $ 1.1 billion of balances accumulated for payment of personal loans were deducted as a result of a change in Federal Reserve regulations. Beginning June 30, 1966, CCC certificates of interest and Export-Import Bank portfolio fund participation certificates totalling an estimated $ 1 billion are included in " Other securities " rather than " Loans ".
5 Beginning June 30, 1971, Farmers Home Administration insured notes totalling approximately $ 700 million are included in " Other securities " rather than in " Loans ".
6 Beginning in June, 1969, data for loans and investments at commercial banks revised to include all bank premises subsidiaries and other significant majority owned subsidiaries; earlier data include commercial banks only. Series also changed to include gross loans and investments without the deduction of valuation reserves rather than net of valuation reserves as done previously.

Source: Board of Governors of the Federal Reserve System, *Federal Reserve Bulletin.*

Table D **Federal Budget Trends, Fiscal Years 1967-1973**
Billions of dollars

	Actual						
	1967	1968	1969	1970	1971	1972	1973
RECEIPTS, NATIONAL INCOME BASIS							
Personal taxes and non-taxes	64.5	71.4	90.0	93.6	87.4	100.1	107.2
Corporate profits tax accruals	31.2	33.7	37.4	33.3	32.2	34.7	43.8
Indirect business tax and non-tax accruals	15.8	17.1	18.6	19.2	20.1	19.9	20.9
Contributions for social insurance	35.7	38.3	44.4	49.1	52.9	59.0	71.4
Total receipts, national income basis	147.2	160.6	190.4	195.2	192.6	213.7	243.3
EXPENDITURES, NATIONAL INCOME BASIS							
Purchases of goods and services	85.3	94.9	99.4	98.0	95.9	103.2	104.5
Defense	(67.7)	(75.9)	(78.0)	(77.0)	(73.2)	(73.9)	(73.9)
Non-defense	(17.6)	(18.9)	(21.4)	(21.0)	(22.8)	(29.3)	(30.6)
Transfer payments	39.4	44.8	50.7	56.8	69.7	78.6	89.4
Domestic (" to persons ")	(37.2)	(42.7)	(48.5)	(54.8)	(67.4)	(75.8)	(86.8)
Foreign	(2.2)	(2.1)	(2.2)	(2.0)	(2.3)	(2.8)	(2.6)
Grants-in-aid to State and local governments	14.8	17.8	19.2	22.6	26.8	32.9	40.4
Net interest paid	9.9	10.9	12.3	14.0	14.3	13.4	14.4
Subsidies less current surplus of Government enterprises	5.1	4.1	4.1	4.7	5.8	5.2	6.4
Wage accruals less disbursements	—	—	—	–.1	.1	—	—
Total expenditures, national income basis	154.5	172.5	185.7	195.9	212.6	233.2	255.1
Excess of receipts (+) or expenditures (—), national income basis	–7.3	–11.9	+4.7	–.7	–19.9	–19.5	–11.8
High employment budget surplus or deficit	–8.3	–13.0	+5.1	+11.7	+3.9	–2.7	–3.0

Source: Budget data for 1967-1973 are based on the estimates prepared by the Department of Commerce. High employment budget balances are estimated by the Federal Reserve Bank of St. Louis.

Table E Balance of Payments OECD Basis
Millions of dollars

	1964	1965	1966	1967	1968	1969	1970	1971	1972	1973
Exports, fob	25 501	26 461	29 310	30 666	33 626	36 414	41 947	42 754	48 768	70 252
Imports, fob	18 700	21 510	25 493	26 866	32 991	35 807	39 788	45 476	55 754	69 629
Trade balance	6 801	4 951	3 817	3 800	635	607	2 159	–2 722	–6 986	623
Services, net[1]	1 811	2 259	1 051	861	1 411	738	772	2 554	975	3 918
Balance on goods and services	8 612	7 210	4 868	4 661	2 046	1 345	2 931	–168	–6 011	4 541
Private transfers, net	–866	–1 045	–1 015	–1 309	–1 233	–1 329	–1 522	–1 605	–1 624	–1 943
Official transfers, net	–1 888	–1 808	–1 910	–1 805	–1 709	–1 649	–1 734	–2 043	–2 173	–1 933
Current balance	5 858	4 357	1 943	1 547	–896	–1 633	–325	–3 816	–9 808	665
Long-term capital (excl. spec. trans.)	–5 918	–5 750	–4 381	–4 821	–1 171	–1 915	–3 697	–6 970	–1 565	–1 699
(*a*) Private[2]	–4 510	–4 073	–2 718	–2 600	1 072	–405	–1 752	–4 420	–243	76
(*b*) Official[3]	–1 408	–1 677	–1 663	–2 221	–2 243	–1 510	–1 945	–2 550	–1 322	–1 775
Basic balance	–60	–1 393	–2 438	–3 274	–2 067	–3 548	–4 022	–10 786	–11 373	–1 034
Non-monetary short-term private capital	–510	578	–34	1	–223	389	892	–1 076	–589	–1 177
Non-monetary short-term official capital	—	—	—	—	—	—	—	—	—	—
Errors and omissions	–978	–494	64	–439	94	–1 805	–458	–9 776	–1 790	–2 776
Balance on non-monetary transactions	–1 548	–1 309	–2 408	–3 712	–2 196	–4 964	–3 588	–21 638	–13 752	–4 987
Private monetary institutions' short-term capital	30	456	2 300	742	3 705	7 791	–7 362	–9 059	2 550	–607
(*a*) Assets	–1 524	325	–84	–730	–105	–867	–1 122	–2 368	–2 199	–5 043
(*b*) Liabilities[4]	1 554	131	2 384	1 472	3 810	8 658	–6 240	–6 691	4 749	4 436
Balance on official settlements	–1 518	–853	–108	–2 970	1 509	2 827	–10 950	–30 697	–11 202	–5 594
Total liabilities to foreign national official agencies[5]	1 363	33	–964	3 344	–758	–1 541	7 815	27 427	10 866	5 095
Use of IMF credit[6]	—	34	177	22	–3	–11	–453	–22	–544	—
Special transactions[7]	–15	–437	327	–447	132	–87	244	227	137	289
Miscellaneous official accounts	—	—	—	—	—	—	—	—	—	—
Allocation of SDR's	—	—	—	—	—	—	867	717	710	—
Change in reserves (+ = increase)	–171	–1 222	–568	–52	880	1 187	–2 477	–2 348	–32	–209
(*a*) Gold	–125	–1 665	–571	–1 170	–1 173	967	–787	–866	–547	—
(*b*) Currency assets	220	349	540	1 024	1 183	–814	–2 152	–381	–35	–233
(*c*) Reserve positions in IMF	–266	94	–537	94	870	1 034	–389	–1 350	–153	33
(*d*) Special Drawing Rights	—	—	—	—	—	—	851	249	703	–9

1 Includes debt obligations payable by the United Kingdom but waived ($ 70 million in 1964 and 1965, $ 66 million in 1968), but excludes reinvested earnings.
2 Includes changes in foreign long-term claims on US Commercial Banks. Excludes liquification of UK govt. portfolio ($ 520 million in 1965, $ 101 million in 1966 and $ 453 million in 1967).
3 Includes changes in invest. by International Organisations in US Government agency bonds. Includes debt obligations payable by the UK but waived ($ 68 million in 1964 and 1965 $ 72 million in 1968).

4 Excludes liabilities to foreign national official agencies. Includes liquid liabilities of other sectors than banking sector to foreign non-official institutions and persons (incl. liquid liabilities to non-monetary international and regional organisations).
5 Includes liabilities to BIS.
6 Includes gold deposits and investment by the IMF.
7 *Special transactions.* 1960: Debt prepayments: $ 54; 1961: Debt prepayments: $ 695; 1962: Debt prepayments: $ 680; 1963: Debt prepayments: $ 326; 1964: Debt prepayments: $ 123, UK waiver: $-138; 1965: Debt prepayments: $ 221, UK waiver: $-138, Liquification of UK Government portfolio: $-520; 1966: Debt prepayments: $ 429, Liquification of UK Government portfolio: $-101; 1967: Debt prepayments: $ 6, Liquification of UK Government portfolio: $-453; 1968: Debt prepayments: $ 269, UK waiver: $-137; 1969: Debt prepayments: $-87; 1970: Debt prepayments: $ 244; 1971: Debt prepayments: $ 226; 1972: Debt prepayments: $ 137; 1973: Debt prepayments: $ 289.

Sources: US Department of Commerce, *Survey of Current Business;* Federal Reserve System, *Federal Reserve Bulletin.*

INTERNATIONAL COMPARISONS

BASIC STATISTICS : INTERNATIONAL COMPARISONS

			Australia	Austria	Belgium	Canada	Denmark	Finland	France	Germany	Greece	Iceland	Ireland
Population	Mid-1972	Thousands	12 959	7 487	9 711	21 848	4 992	4 624 [1]	51 700	61 669	8 866	209	3 014
Net average annual increase	1962 to 1972	%	1.93	0.49	0.52	1.61	0.72	0.29	0.96	0.82	0.48	1.39	0.63
Employment Total civilian	1971	Thousands	5 425	3 176	3 788	8 079	2 338	2 139	20 518	26 673	3 275	79 [13]	1 063
Agriculture		% of total	8.0	17.3	4.4	7.5	10.9	21.2	13.4	8.4	37.3	18.8 [13]	26.5
Industry [7]			38.8	41.9	44.2	31.0	37.2	35.2	38.6	50.1	24.6	36.8 [13]	30.9
Other			53.2	40.8	51.4	61.5	51.9	43.6	48.0	41.5	38.1	44.4 [13]	42.6
Production GDP [4] per head	1971	$ [8]	3 170	2 210	2 980	4 340	3 510	2 450	3 180	3 550	1 190	2 920	1 530
GDP by sector: Agriculture	1971	% of total	7.2 [2 15]	6.0 [11]	3.9	4.4	7.5	13.7	6.0 [11 13]	2.8 [11]	19.5	..	16.4
Industry			38.1 [2 15]	49.0 [11]	43.8	37.0	38.7	42.3	48.4 [11 13]	53.5 [11]	30.5	..	35.6
Other			54.7 [2 15]	45.0 [11]	52.3	58.6	53.8	44.0	45.6 [11 13]	43.7 [11]	50.0	..	48.0
GDP [4 23] annual volume growth	1971	%	3.0 [15]	5.6	3.7	5.5	4.0	2.3	5.1	2.7	7.6	9.9	3.8
	1966 to 1971		5.0 [15]	5.2	5.0	4.4	4.9	5.2	5.7	4.7	7.5	1.9	5.1
Indicators of living standards Private consumption per head	1971	$	1 880	1 230	1 810	2 480	2 080	1 280	1 870	1 910	810	1 860	1 040
Public expenditure on education	1970	% of GNP	4.00 [9]	4.60 [2]	5.40 [2]	9.10 [2]	7.00	6.30	4.70	3.50	2.00 [2]	4.30	4.90 [2]
Dwellings completed, per 1 000 inhabitants	1971	Number	11.0	6.0	4.4 [22]	8.9 [22]	10.1	10.8	9.3	9.0	14.0	6.6	5.1
Passenger cars, per 1 000 inhabitants	1970		306	162	211	312	219	137	245	237	22	200	122
Television sets, per 1 000 inhabitants	1971		227 [13]	213	216 [13]	349	277	230	227	299	10 [2]	196	164
Telephones, per 1 000 inhabitants	1971		324	207	224	468	356	270	185	249	137	360	109
Doctors, per 1 000 inhabitants	1970		1.18 [19]	1.85	1.55 [2]	1.41 [2]	1.45 [18]	1.02	1.33	1.69 [2]	1.55 [2]	1.41	1.09 [2]
Gross fixed investment [23] Total	1967-71 average	% of GDP [4]	26.5 [15]	28.0	20.8	21.7 [24]	23.3	24.1	26.1	25.4	27.2 [25]	29.2	23.4
Machinery and equipment			11.7	12.1	9.0	8.0	11.9	8.8	11.7	11.8	10.5	8.6	11.6
Residential construction			5.1	15.8 [28]	4.8	4.2	11.4 [28]	5.6	6.5	5.3	7.4	5.5	4.2
Other construction			9.7	— [28]	7.0	9.5	—	9.7	7.8	8.3 [29]	9.4	15.1	7.7
Gross saving	1967-71 average	% of GDP [4]	25.7	28.5	24.6	22.5	18.5	29.1	27.3	27.2	22.0 [25]	..	20.4
Public sector [30] Total current revenue	1971	% of GDP [4]	29.5	37.0	35.5	35.7	44.6	37.6	37.7	38.4	27.4 [13]	33.3 [18]	34.2
Wages/Prices Hourly earnings [32]	Annual increase 1966 to 71	%	6.9 [34]	8.5 [16]	8.7	7.9 [34]	11.7 [35]	10.7	10.2 [36]	8.3 [34]	8.8 [34]	12.9 [37]	12.1 [34]
Consumer prices			3.7	3.8	3.5	3.7	6.3	5.3	4.9	3.0	2.1	12.0	6.5
GDP [4] deflator			4.6	3.8	4.0	3.8	5.7	5.9	5.2	4.2	2.5	13.4	7.1
Foreign trade Imports [46]	1971	$ million [8]	5 870 [15]	5 060	12 020	19 550	5 350	3 190	26 180	43 900	2 090 [13]	290	1 960
		% of GDP [4]	14.5	30.7	41.6	21.1	30.7	28.1	16.1	20.2	22.3	48.0	43.3
Exports [46]		$ million [8]	6 310 [15]	5 030	12 670	21 020	5 080	2 970	27 390	47 010	1 000 [13]	250	1 640
		% of GDP [4]	15.7	30.5	43.9	22.7	29.1	26.1	16.8	21.6	10.7	41.4	36.3
Balance of payments Current balance	1967-71 average	% of GNP	–3.2 [15]	–0.3	1.9 [21]	0.0	–2.6	–1.3	–0.3	0.9	–3.7	–5.5	–3.3
Official reserves [47], end-1972: per cent of imports of goods in 1972		%	129.9	52.6	25.0 [21]	32.0	17.0	23.7	37.7	59.8	44.1	36.7	53.6
Change	May 1973 - May 1974	Mill. SDR's	–365	–204	–407 [21]	79	–257	21	–2 872	2 533	–124	–17	–35
Net flow of resources to developing countries [50]	1972	% of GNP	0.96	0.54	1.12	0.95	0.57	— [51]	1.06	0.67	— [52]	— [51]	— [51]
Export performance [53] Growth of markets [54]	1971 to 1972	%	16.7	17.9	19.8	18.3	19.7	21.1	18.8	18.6	14.7	..	22.4
	1960-61 to 1970-71 (average)		..	11.5	11.5	13.5	10.3	10.6	9.6	10.8	11.5	..	8.5
Gains or losses of market shares [55]	1971 to 1972	%	10.9	4.8	10.2 [21]	–4.1	–0.3	3.9	6.6	–0.2	16.8	..	0.5
	1960-61 to 1970-71 (average)		..	–1.5	0.5 [21]	–2.0	–1.6	–2.0	1.0	1.0	0.3	..	1.2

			Italy	Japan	Luxembourg	Netherlands	Norway	Portugal	Spain	Sweden	Switzerland	Turkey	United Kingdom	United States	Yugoslavia [17]
Population	Mid-1972	Thousands	54 344 [3]	106 960 [6]	347	13 330	3 933	8 590	34 365	8 127	6 385	37 010	55 877	208 842	20 770
Net average annual increase	1962 to 1972	%	0.67	1.19	0.78	1.22	0.78	–0.41	1.06	0.72	1.20	2.49	0.45	1.14	0.99
Employment Total civilian	1971	Thousands	18 700	51 140	148	4 604	1 497 [13]	3 033	12 442	3 860	3 063	(13 639) [13]	24 329	79 120	7 651 [5]
Agriculture		% of total	19.5	15.9	10.2	6.9	13.9 [13]	31.1	28.6	7.8	7.2	(71.5) [13]	2.7	4.3	50.4
Industry [7]			44.1	36.0	47.3	38.0	37.3 [13]	36.3	37.5	37.6	47.5	(11.8) [13]	45.7	(31.0)	49.6
Other			36.4	48.1	42.5	55.1	48.8 [13]	32.6	33.9	54.6	45.3	(16.7) [13]	51.6	(64.7)	
Production GDP [4] per head	1971	$ [8]	1 880	2 150	3 180	2 820	3 350	760	1 070	4 410	3 780	350	2 430	5 130	760
GDP by sector: Agriculture	1971	% of total	11.5	5.9 [11]	4.1 [13]	6.2 [13]	5.3	16.2	13.5	4.4 [11]	6.4 [10]	30.2 [13]	2.9 [14]	2.9 [11]	19.3 [13]
Industry			40.5	44.3 [11]	56.9 [13]	42.0 [13]	37.8	44.3	34.4	39.3 [11]	49.6 [10]	25.7 [12]	43.5 [14]	33.1 [11]	41.1 [13]
Other			48.0	49.8 [11]	39.1 [13]	51.8 [13]	56.9	39.5	52.1	56.2 [11]	44.0 [10]	44.1 [12]	53.6 [14]	63.9 [11]	39.6 [13]
GDP [4 23] annual volume growth	1971	%	1.5	6.3	0.7	4.5	5.0	6.2	4.5	0.2	3.8	7.9	1.6	2.5	..
	1966 to 1971		5.0	11.3	3.4	6.1	4.6	6.6	5.7	3.5	3.8	6.3	2.3	2.5	..
Indicators of living standards Private consumption per head	1971	$	1 210	1 120	1 760	1 610	1 780	580	720	2 390	2 230	260 [13]	1 510	3 230	390
Public expenditure on education	1970	% of GNP	4.20 [2]	4.00 [2]	4.90 [2]	7.00 [18]	5.90	2.00	2.20 [2]	8.20	4.10 [2]	3.70 [18]	5.50 [2]	5.40 [2]	4.30 [18]
Dwellings completed, per 1 000 inhabitants	1971	Number	6.3	14.4 [13]	5.3 [13]	10.4	9.8	2.9 [13]	9.1	13.2	10.7	4.8 [13]	6.7	8.3	6.1
Passenger cars, per 1 000 inhabitants	1970		187	85	267	194	193	47	71	279	221	4	213	432	35
Television sets, per 1 000 inhabitants	1971		191	222	208 [13]	243	229	40 [13]	132	323	222	3	298	449	100
Telephones, per 1 000 inhabitants	1971		188	282	346	280	307	92	151	557	509	18	289	604	40
Doctors, per 1 000 inhabitants	1970		1.80	1.11 [2]	1.03 [2]	1.19	1.37	0.85	1.34 [2]	1.30 [2]	1.59	0.44	1.18 [9]	1.49 [2]	1.10
Gross fixed investment [23] Total	1967-71 average	% of GDP [4]	19.9	37.8	24.2 [25]	26.7	28.2	18.0	24.1	23.0	27.8 [49]	..	19.3	16.6 [26]	..
Machinery and equipment			8.2	31.3 [27]	7.3	12.6	13.9	8.0	12.6	8.3	9.5	..	9.4	7.0 [26]	..
Residential construction			6.1	6.5	16.9 [28]	5.2	5.1	3.0	3.9	5.1	7.1	..	3.4	3.3	..
Other construction			5.6	— [27]	—	8.9	9.2	7.0	7.8	9.6	11.2	..	6.5	6.3	..
Gross saving	1967-71 average	% of GDP [4]	23.3	39.1	30.2 [25]	26.2	28.0	20.4	22.7	22.8	28.9 [49]	..	19.4	17.3	..
Public sector [30] Total current revenue	1971	% of GDP [4]	33.7	22.3	35.7 [13]	42.5 [13]	47.3	24.0	22.6	49.1 [31]	27.1 [2]	..	38.6	30.5	..
Wages/Prices Hourly earnings [32]	Annual increase 1966 to 71	%	10.1 [38]	15.2 [39]	..	9.2 [40]	9.9 [41]	10.2 [33]	12.3 [42]	9.0 [43]	6.1 [44]	..	7.8 [45]	5.5 [20]	14.7
Consumer prices			3.4	5.7	3.3	5.3	5.5	7.8	5.4	4.6	3.8	10.0	5.7	4.5	9.1
GDP [4] deflator			4.4	4.7	5.1	5.3	5.7	3.8	5.5	4.8	5.1	7.7	5.6	4.4	..
Foreign trade Imports [46]	1971	$ million [8]	18 670	20 720	730 [13]	17 710	5 360	2 130	5 610	8 410	8 240	990 [13]	28 750	62 440	3 750
		% of GDP [4]	18.5	9.2	70.9	47.5	41.0	31.5	15.4	23.5	34.5	7.7	21.5	5.9	23.9
Exports [46]		$ million [8]	19 770	27 010	850 [13]	17 700	5 130	1 650	5 840	8 770	8 090	620 [13]	30 650	56 220	2 860
		% of GDP [4]	19.6	12.0	81.8	47.5	39.3	24.5	16.0	24.5	33.8	4.8	22.9	5.3	18.2
Balance of payments Current balance	1967-71 average	% of GNP	2.2	1.3	—	–0.5	–0.8	2.8	–0.1	–0.3	1.5	–0.7	0.6	0.0	..
Official reserves [47], end-1972: per cent of imports of goods in 1972		%	31.5	78.2	—	27.9	30.3	105.9	75.8	19.7	75.9	92.6	20.3	23.7	22.5
Change	May 1973 - May 1974	Mill. SDR's	–573	–2 241	—	–130	75	175 [48]	649 [48]	–274	–277	429 [48]	150	431	171
Net flow of resources to developing countries [50]	1972	% of GNP	0.46	0.93	— [51]	1.42	0.37	(2.15)	— [52]	0.66	0.58	— [52]	1.11	0.64	— [52]
Export performance [53] Growth of markets [54]	1971 to 1972	%	19.5	14.8	—	19.9	19.6	..	19.1	18.8	19.2	19.7	14.5	16.7	..
	1960-61 to 1970-71 (average)		10.9	10.1	—	11.1	10.2	..	10.6	10.5	11.1	10.8	9.8	9.8	..
Gains or losses of market shares [55]	1971 to 1972	%	3.1	4.3	—	–2.0	8.3	..	6.9	–2.5	–0.1	11.7	–6.8	–5.6	..
	1960-61 to 1970-71 (average)		2.8	7.9	—	0.8	0.5	..	3.4	–0.1	–0.3	–4.2	–2.9	–2.1	..

[5] 3 7 74

1 Does not include total net migration between Finland and the other Nordic countries.
2 1969.
3 Total resident population.
4 GDP in purchasers' values.
5 Private and socialised sector.
6 From 1972, including Okinawa prefecture.
7 According to the definition used in OECD Labour Force Statistics: mining, manufacturing, construction and utilities (electricity, gas and water).
8 At current prices and exchange rates.
9 1967.
10 The estimates for GDP by sector for Switzerland have been published in "La Vie économique", November 1969.
11 GDP at market prices.
12 Net domestic product.
13 1970.
14 Including stock appreciation.
15 Fiscal year-Beginning July 1st.
16 Monthly, wage earners.
17 National source.
18 1968.
19 1966.
20 Manufacturing, gross earnings per production worker.
21 Including Luxembourg.
22 Dwellings started.
23 At constant (1963) prices.
24 Excluding transfer costs of land and existing assets.
25 1966-1970.
26 Government and government enterprise expenditure on machinery and equipment is included in government current expenditure.
27 "Other construction" included under "machinery and equipment". Work in progress on heavy equipment and ships for the domestic market are included in fixed asset formation.
28 "Other construction" included in "residential construction".
29 Including transfer costs of land.
30 General government.
31 Including depreciation.
32 Industry.
33 Monthly.
34 Manufacturing.
35 Including bonuses.
36 Hourly rates in manufacturing.
37 Hourly wages rates, unskilled workers.
38 Hourly rates in manufacturing, excluding family allowances.
39 Monthly earnings in manufacturing. Cash payments including bonuses, regular workers.
40 Hourly rates in industry, males.
41 Males.
42 Manufacturing, including salaried employees.
43 Mining and manufacturing, males.
44 Hourly rates.
45 Hourly rates in manufacturing, males.
46 Goods and services, excluding factor income.
47 Including reserve position in the IMF and special drawing rights.
48 April 1973 - April 1974.
49 1965-1969.
50 According to the DAC definition. Including flows to multilateral agencies and grants by voluntary agencies.
51 Not Development Assistance Committee member.
52 Considered as a developing country for purposes of DAC reporting.
53 Values, percentage change. Figures are subject to many limiting factors. For an explanation see OECD Economic Outlook, simple definition, December 1970, pp. 65 and 69.
54 The growth which would have occurred in a country's exports if it had exactly maintained its share in total OECD exports to each of 19 broad geographical zones.
55 The difference between the growth rates of markets and exports.

NOTE Figures within brackets are estimates by the OECD Secretariat.

Sources: Common to all subjects and countries, except Yugoslavia (for special national sources see above): OECD: Labour Force Statistics, Main Economic Indicators, National Accounts, Balance of Payments, Observer, DAC and Statistics of Foreign Trade (Series A); Office Statistique des Communautés Européennes, Statistiques de base de la Communauté; IMF, International Financial Statistics; UN, Statistical Yearbook.

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